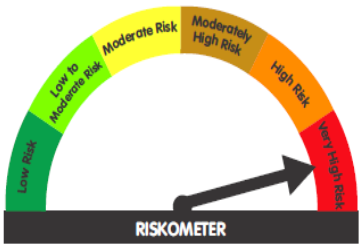
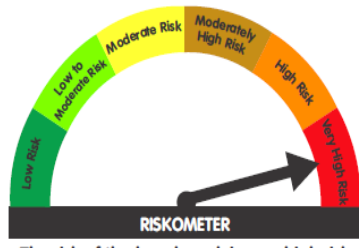


Investors should note that this Scheme is suitable for investors who have an investment horizon of minimum 5 years.

SCHEME INFORMATION DOCUMENT

Name of the Scheme	Parag Parikh Flexi Cap Fund
Type of the Scheme	An open-ended dynamic equity scheme investing across large cap, mid cap, small cap stocks.

The Scheme is open for Continuous Offer for Units at Applicable NAV

This product is suitable for investors who are seeking*	Risk-o-meter as on September 30, 2025	
	Scheme's Risk-o-meter	AMFI Tier I Benchmark's Risk-o-meter (Nifty 500 TRI)
The investment objective of the Scheme is to seek to generate long-term capital growth from an actively managed portfolio primarily of Equity and Equity Related Securities. Scheme shall invest in Indian equities, foreign equities and related instruments and debt securities.	 RISKOMETER The risk of the scheme is very high risk	 RISKOMETER The risk of the benchmark is very high risk

*Investors should consult their financial advisers if in doubt about whether the product is suitable for them.

Name of the Mutual Fund	PPFAS Mutual Fund
Name of the Sponsor	Parag Parikh Financial Advisory Services Limited CIN: U67190MH1992PLC068970
Name of the Asset Management Company	PPFAS Asset Management Private Limited CIN: U65100MH2011PTC220623
Name of the Trustee Company	PPFAS Trustee Company Private Limited CIN: U65100MH2011PTC221203
Registered Address, Website of the Entities	81/82, 8 th Floor, Sakhar Bhavan, Ramnath Goenka Marg, 230, Nariman Point, Mumbai- 400021, Maharashtra, India Website: https://amc.ppfas.com

The particulars of the Scheme have been prepared in accordance with the Securities and Exchange Board of India (Mutual Funds) Regulations 1996, (herein after referred to as SEBI (MF) Regulations) as amended till date and circulars issued thereunder filed with SEBI, along with a Due Diligence Certificate from the AMC. The units being offered for public subscription have not been approved or recommended by SEBI nor has SEBI certified the accuracy or adequacy of the Scheme Information Document.

The Scheme Information Document sets forth concisely the information about the scheme that a prospective investor ought to know before investing. Before investing, investors should also ascertain about any further changes to this Scheme Information Document after the date of this Document from the Mutual Fund / Investor Service Centres / Website / Distributors or Brokers.

The investors are advised to refer to the Statement of Additional Information (SAI) for details of PPFAS Mutual Fund, Standard Risk Factors, Special Considerations, Tax and Legal issues and general information on <http://amc.ppfas.com>.

SAI is incorporated by reference (is legally a part of the Scheme Information Document). For a free copy of the current SAI, please contact your nearest Investor Service Centre or log on to our website, <http://amc.ppfas.com>.

The Scheme Information Document (Section I and II) should be read in conjunction with the SAI and not in isolation.

This Scheme Information Document is dated November 28, 2025.

INDEX

The Scheme Information Document has two sections- Section I and Section II.

While Section I contains scheme specific information that is dynamic, Section II contains elaborated provisions (including references to applicable Regulations/circulars/guidelines) with reference to information/disclosures provided in Section I.

Sr. No.	Details of Content	Pg no.
	SECTION I	
1	Part I - Highlights/Summary of the Scheme	5
	Due Diligence by the Asset Management Company	11
2	Part II - Information about the Scheme	
A	How will the Scheme allocate its assets	12
B	Where will the Scheme invest?	16
C	What are the investment strategies?	16
D	How will the Scheme benchmark its performance?	18
E	Who manages the Scheme?	18
F	How is the Scheme different from existing schemes of the Fund	21
G	How has the Scheme performed?	22
H	Additional Scheme related disclosures	22
3	Part III – Other Details	
A	Computation of NAV	24
B	New Fund Offer (NFO) expenses	25
C	Annual Scheme recurring expenses	25
D	Load structure	27
	SECTION II	
I	Introduction	
A	Definitions/Interpretation	30
B	Risk factors	30
C	Risk mitigation strategies	39
II	Information about the Scheme	
A	Where will the Scheme invest?	43

B	What are the investment restrictions?	49
C	Fundamental Attributes	53
D	Other Scheme specific disclosures	53
III	Other Details	
A	Periodic disclosures	66
B	Transparency/NAV disclosure	69
C	Transaction charges and stamp duty	69
D	Associate transactions	70
E	Taxation	70
F	Rights of Unitholders	71
G	List of official points of acceptance	71
H	Penalties, Pending Litigation or proceedings, findings etc.	72

SECTION I

Part I. HIGHLIGHTS/SUMMARY OF THE SCHEME

Sr. No.	Title	Description
I.	Name of the scheme	Parag Parikh Flexi Cap Fund
II.	Category of the Scheme	Flexi Cap Fund
III.	Scheme type	An open-ended dynamic equity scheme investing across large cap, mid cap, small cap stocks.
IV.	Scheme code	PPFA/O/E/FCF/13/04/0001
V.	Investment objective	The investment objective of the Scheme is to seek to generate long-term capital growth from an actively managed portfolio primarily of Equity and Equity related securities. Scheme shall be investing in Indian equities, foreign equities and related instruments and debt securities. Buying securities at a discount to intrinsic value will help to create value for investors. Our investment philosophy is to invest in such value stocks. Long Term refers to an investment horizon of 5 years and more. In this Scheme Information Document (SID), it is mentioned that the Scheme is not suitable for investment horizon of less than 5 years. The Scheme will evaluate different companies based on their long term prospects (5 years and more) rather than just looking at the next quarter or a few quarter's earnings. Since the objective of the Scheme is to hold the investments in the companies where the Scheme has invested for the long term, it is essential that the investors in the Scheme have a similar outlook. It is expected that the core equity portfolio of the Scheme will have low churn (portfolio turnover). However, the actual churn (portfolio turnover) could be higher depending on circumstances prevailing at respective times. However, there is no assurance that the investment objective of the Scheme will be achieved and the Scheme does not assure or guarantee any returns.
VI.	Liquidity/listing details	The Scheme being offered is open-ended scheme and will offer units for sale, switch-in and redemption switch out, on every working day at NAV based prices. As per SEBI (MF) Regulations, the Mutual Fund shall make the transfer of redemption proceeds within 3 working days from the date of redemption in normal circumstances. Further, in exceptional circumstances, transfer of redemption shall be within 5 working days as per SEBI and/or AMFI Guidelines. A penal interest of 15% per annum or any other rate as may be prescribed by SEBI from time to time will be paid by the AMC for the period of delay in case the redemption proceeds are not transferred within the prescribed time. Please refer to section 'Redemption' for more details.
VII.	Benchmark (Total Return Index)	• The scheme's benchmark is Nifty 500 TRI. • The benchmark is based on AMFI Tier-1 benchmark. Justification – NIFTY 500 TRI have been chosen as the benchmark for the Scheme as the composition of the aforesaid index is such that

		it is most suited for comparing performance of the Scheme.
VIII.	NAV disclosure	The AMC shall update the NAVs on the website of the Mutual Fund (https://amc.ppfas.com) and on the website of Association of Mutual Funds in India - AMFI (www.amfiindia.com) by 10.00 am on T+1 day. For further details, kindly refer to Section II.B of the SID.
IX.	Applicable timelines	Under normal circumstances, the redemption or repurchase proceeds shall be released to the unitholders within 3 working days from the date of redemption or repurchase and in case of exceptional circumstances, the transfer shall be made within 5 working days. For IDCW, under normal circumstances, the IDCW proceeds shall be released to unitholders within 7 working days from the record date and in case of exceptional circumstances, it shall be released within 9 working days from the record date as per SEBI and/or AMFI Guidelines dated 16th January 2023 as amended from time to time. The AMC shall be liable to pay interest to the unitholders at such rate as may be specified by SEBI for the period of such delay (presently @ 15% per annum) along with the proceeds of redemption or repurchase or IDCW. However, the AMC will not be liable to pay any interest or compensation or any amount otherwise, in case the AMC / Trustee is required to obtain from the investor / unitholders, verification of identity or such other details relating to subscription for units under any applicable law or as may be requested by a regulatory body or any government authority, which may result in delay in processing the application Please refer to section 'Redemption' for more details.
X.	Plans and Options Plans/Options and sub-options under the Scheme	The Scheme offers two Plans: 1.Direct Plan 2.Regular Plan Both Regular and Direct Plan(s) offers two Options, viz., 1. Growth Option 2. Income Distribution cum capital withdrawal (IDCW) Option Income Distribution cum capital withdrawal Option have the following facilities: -Payout of IDCW ("Payout") and -Re-investment of IDCW ("Re-investment") Default Option- Growth Default Facility- Payout The NAVs of the above plans will be different and separately declared; the portfolio of investments remaining the same. The Investors should indicate the plan / option for which Subscription is made by indicating the choice in the appropriate box provided for this purpose in the application form. In case of valid application received without any choice of option/ facility, the following default plan / option will be considered: Default Plan Investors subscribing under Direct Plan of the Scheme will have to indicate "Direct Plan" against the Scheme name in the application

		form. However, if distributor code is mentioned in application form, but “Direct Plan” is mentioned against the Scheme name, the distributor code will be ignored and the application will be processed under “Direct Plan”. Further, where application is received for Regular Plan without Distributor code or “Direct” mentioned in the ARN Column, the application will be processed under Direct Plan. Default Option – Growth In cases of transactions received in Regular Plan with Invalid ARN, the transactions shall be processed under Direct Plan of the same scheme. The AMC shall adhere with the AMFI Best Practices Guidelines Circular No.111 /2023-24 dated February 2, 2024, and as amended from time to time where the transactions from investors are received with invalid ARNs. As per AMFI Best Practice Guideline No: 135/BP/ 107 /2023-24 dated May 04, 2023, AMC can accept business only from an empanelled distributor. Transactions received, if any, from / under the ARN of a non-empanelled MFD may be processed under Direct Plan, with prompt intimation to the non-empanelled MFD, and the investor. For detailed disclosure on default plans and options, refer SAI, please refer SAI for additional information.
XI.	Load Structure	Exit Load: In respect of each purchase / switch-in of Units, 10% of the units (“the limit”) may be redeemed without any exit load from the date of allotment. Any redemption or switch-out in excess of the limit shall be subject to the following exit load: 2.00 % if the investment is redeemed on or before 365 days from the date of allotment of units. 1.00 % if the investment is redeemed after 365 days but on or before 730 days from the date of allotment of units. No Exit Load will be charged if investment is redeemed after 730 days from the date of allotment of units. Any exit load charged (net off GST, if any) shall be credited back to the Scheme. No exit load will be charged, in case of switch transactions between Regular Plan and Direct Plan of the Scheme for existing as well as prospective investors. The Trustees shall have the right to prescribe or modify the exit load structure with prospective effect subject to a maximum prescribed under the Regulations.
XII.	Minimum Application Amount/switch in	On continuous basis: Rs. 1,000/- and in multiples of Re. 1/- thereafter.
XIII.	Minimum Additional Purchase Amount	Rs. 1,000/- and in multiples of Re. 1/- thereafter

XIV.	Minimum Redemption/switch out amount	Rs. 1,000/- and in multiples of Re. 1/- thereafter. The scheme does not require maintenance of minimum balance in the units of the scheme. In case the balance in the account of the unitholder does not cover the amount of redemption request, then the Mutual Fund is authorized to redeem all the units in the folio and send the redemption proceeds to the unitholder.
XVII.	Segregated portfolio/side pocketing disclosure	Currently, there is no segregated portfolio in the Scheme. The Scheme carries the provision to segregate the portfolio, if required in future. To know details about provision for segregation of portfolio, kindly refer SAI.
XVIII	Swing pricing disclosure	This is not applicable to equity schemes.
XIX.	Stock lending/short selling	The Scheme may engage in short selling of securities in accordance with framework relating to short selling and securities lending and borrowing specified by SEBI as amended from time to time. For details on this provision, kindly refer SAI section C – General Information.
XX.	How to Apply and Other details	Investors can apply for their transactions requests either offline or electronically using the relevant application / transaction request forms available on our website https://amc.ppfas.com/ or at any of our Officials Points of Acceptance, Investor Service Centres and RTA (Computer Age Management Services Limited's branch offices). The application form/transaction slip for subscription/ redemption/ switches can be submitted at our Official Points of Acceptances whose addresses are available on the website of the AMC. For Summary of process, please refer to the SAI and application form for the instructions. Details in section II.
XXI.	Investor services	● Contact details for general service requests: ● Toll Free No. – 1800- 266- 7790, write to mf@ppfas.com or send communications to registered office address: ● Contact details for complaint resolution: Mr. Aalok Mehta, Head - Investor Relations & Direct Channel or write to mf@ppfas.com ● Investors also have an option to approach SEBI, by logging a complaint on SEBI's complaints redressal system (SCORES 2.0) https://scores.sebi.gov.in ● SMART ODR Portal – Link' is being made available for investors on https://amc.ppfas.com/out-source-url/?https://smartodr.in/login
XXII	Specific attribute of the scheme (such as lock in, duration in case of target maturity scheme/close ended schemes) (as applicable)	NIL. The scheme, being open ended in nature, has perpetual duration.
XXIII	Special product/facility available on ongoing basis	The Special Products / Facilities available under the Scheme, are: i. Systematic Investment Plan (SIP) The Unit holders under the eligible Scheme(s) can benefit by investing specified Rupee amounts at regular intervals for a continuous period. Under the SIP, Investors can invest a fixed amount of Rupees at regular intervals for purchasing additional Units of the Scheme(s) at Applicable NAV.

		ii. SIP Top up Facility Investors may avail SIP Top-up facility where they have options to increase the SIP Installment at pre-defined intervals. This will enhance the flexibility of the investor to invest higher amounts during the tenure of the SIP. iii. SIP Pause Facility The Fund offers SIP Pause facility for investors who wish to temporarily pause their SIP in the Schemes of the Fund. iv. Systematic Transfer Plan (STP) A unitholder may establish a Systematic Transfer Plan (STP) and choose to transfer an amount from one PPFAS MF Scheme (Source Scheme) to another PPFAS MF Scheme (Target Scheme) on a date/frequency prescribed by the Investment Manager. The amount thus withdrawn by redemption shall be converted into units at the applicable NAV on the scheduled day and such units will be subtracted from the unit balance of that unitholder. The net amount will be considered for allotment in the target scheme and units will be allotted as per the applicable NAV of the target scheme. v. Systematic Withdrawal Plan (SWP) This facility available to the unitholders of the fund enables them to redeem fixed sums or fixed number of units from their unit accounts at periodic intervals. The amount withdrawn under SWP by redemption shall be converted into the Fund units at the Repurchase price and such units will be redeemed/ subtracted from the unit balance of that unitholder. In case the date falls during a non business day/ book closure period the immediate next Business day will be considered for this purpose. vi. Registration of Multiple Bank Accounts in respect of an Investor Folio An Investor can register with the Fund upto 5 bank accounts in case of individuals and HUFs and upto 10 in other cases. Registering of Multiple Bank Accounts will enable the Fund to systematically validate the pay-in of funds and avoid acceptance of third party payments. For the purpose of registration of bank account(s), Investor should submit Bank Mandate Registration Form (available at the AMC Website, office of AMC and Official point of Acceptance) together with documents as given in the SAI. vii. Facilitating transactions through Stock Exchange Mechanism. PPFAS Mutual Fund is introducing the facility to purchase and redeem units of PPFAS Mutual Fund scheme/s through Stock Exchange Platform, in accordance with SEBI Circulars No. CIR/MRD/DSA/32/2013 dated October 4, 2013, read with SEBI Master Circular for Mutual Funds No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024. Please refer SAI for more details. viii. Transaction through “Channel Distributors” Investors may enter into an agreement with certain distributors/ Registered Investment Advisers (RIAs) / Portfolio Managers (with whom AMC also has a tie up) referred to as "Channel Distributors" who provide the facility to investors to transact in units of mutual funds through various modes such as their website/other electronic means or through Power of Attorney/agreement/ any such arrangement in favour of the Channel Distributor, as the case may
--	--	--

		be. Please refer SAI more details. ix. PPFAS Corp (Web App) PPFAS Mutual Fund launched a new web app "PPFAS Corp" with effect from August 20, 2024. PPFAS Corp offers secure, online investment management for existing corporate entities. Transactions through this app function similarly to those on PPFAS SelfInvest App, with an additional layer of initiators and approvers. This ensures that every transaction is reviewed and authorized before processing, followed with the resolutions approved by the Board of Directors of the respective Companies. Onboarding of new Companies (creating a new folio) will continue to happen offline. PPFAS Corp can be accessed at www.corp.ppfas.com x. Transactions through Electronic Mode: The eServices facility includes PPFAS MF SelfInvest Online, PPFAS-MF SelfInvest Mobile App. Please refer SAI for more details. xi. Email based transactions Non-individual investors can submit transactions via email. To avail of this facility, submission of either a Board Resolution (BR) or an authority letter is mandatory. Please refer more details under 'Other Scheme Specific Disclosures'. xii. MF Central as Official Point of Acceptance: Pursuant to SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, to comply with the requirements of RTA inter-operable Platform for enhancing investors' experience in Mutual Fund transactions / service requests, the Qualified RTAs, at present, Kfin Technologies Private Limited ("KFintech") and Computer Age Management Services Limited ("CAMS") have jointly developed MFCentral - A digital platform for Mutual Fund investors (hereinafter referred to as "MFCentral" or "the Platform"). MFCentral is created with an intent to be a one stop portal / mobile app for all Mutual fund investments and service-related needs that significantly reduces the need for submission of physical documents by enabling various digital / physical services to Mutual fund investors across fund houses subject to applicable Terms and Conditions of the Platform. MFCentral will be enabling various features and services in a phased manner. MFCentral may be accessed using https://mfcentral.com/ and a Mobile App in future. With a view to comply with all provisions of the aforesaid circular and to increase digital penetration of Mutual Funds, PPFAS Mutual Fund designates MFCentral as its Official Point of Acceptance (DISC - Designated Investor Service Centre) w.e.f. September 23, 2021. Any registered user of MFCentral, requiring submission of physical document as per the requirements of MFCentral, may do so at any of the DISCs or collection centres of Kfintech or CAMS. xiii. Transactions through MF Utilities India Private Limited ('MFU'): Both financial and non-financial transactions pertaining to schemes of PPFAS Mutual Fund can be done through MFU at the authorized Points of Service ("POS") of MFU. The details of POS published on MFU website at www.mfuindia.com will be considered as Official Point of Acceptance (OPA) for transactions in the Scheme.
--	--	---

XXIV.	Weblink	Click here for the Total Expense Ratio (TER) - https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/ Click here for Factsheet of the Fund - https://amc.ppfas.com/downloads/factsheet/
-------	---------	---

DUE DILIGENCE BY THE ASSET MANAGEMENT COMPANY

It is confirmed that:

- (i) The Scheme Information Document submitted to SEBI is in accordance with the SEBI (Mutual Funds) Regulations, 1996 and the guidelines and directives issued by SEBI from time to time.
- (ii) All legal requirements connected with the launching of the Scheme as also the guidelines, instructions, etc., issued by the Government and any other competent authority in this behalf, have been duly complied with.
- (iii) The disclosures made in the Scheme Information Document are true, fair and adequate to enable the investors to make a well informed decision regarding investment in the Scheme.
- (iv) The intermediaries named in the Scheme Information Document and Statement of Additional Information are registered with SEBI and their registration is valid, as on date.
- (v) The contents of the Scheme Information Document including figures, data, yields etc. have been checked and are factually correct.
- (vi) A confirmation that the AMC has complied with the compliance checklist applicable for Scheme Information Documents and other than cited deviations/ that there are no deviations from the regulations
- (vii) Notwithstanding anything contained in this Scheme Information Document, the provisions of the SEBI (Mutual Funds) Regulations, 1996 and the guidelines there under shall be applicable.
- (viii) The Trustees have ensured that the scheme 'Parag Parikh Flexi Cap Fund' approved by them is the first and new product offered by PPFAS Mutual Fund and is not a minor modification of any existing scheme/fund/product.

Place: Mumbai.

Date: November 28, 2025

Signed: Sd/-

**Name: Priya Hariani
Designation: Chief Compliance Officer
and Company Secretary**

Part II. INFORMATION ABOUT THE SCHEME

A. HOW WILL THE SCHEME ALLOCATE ITS ASSETS?

Under normal circumstances, the asset allocation pattern will be as follows:

Instruments	Indicative allocations (% of net assets)		Risk Profile
	Minimum	Maximum	
Equity and Equity related instruments	65%	100%	Medium to High
Debt Securities, Money Market Instruments	0%	35%	Low to Medium
Foreign Equity and equity related instruments	0%	35%	Medium to High
Debt Securities (including Units) issued by REITs & InvITs	0%	10%	Medium to High

As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the cumulative gross exposure through equity, debt, derivative positions (including commodity and fixed income derivatives), repo transactions and credit default swap in corporate debt securities, Real Estate Investment Trusts (REITs), Infrastructure Investment Trusts (InvITs), other permitted securities/assets and such other securities/ assets as may be permitted by SEBI from time to time shall not exceed 100% of the net assets of the Scheme.

Investments in securitised debt, if undertaken, shall not exceed 25% of the net asset of the scheme.

From time to time, the Scheme may hold cash equivalent securities. The Scheme may take derivatives position (in equity, currency and fixed income) based on the opportunities available subject to the guidelines issued by SEBI from time to time and in line with the investment objective of the Scheme. These may be taken to hedge the portfolio, re-balance the same or to undertake any other strategy as permitted under SEBI (MF) Regulations from time to time.

The Scheme may use derivatives for trading, hedging and portfolio balancing. Exposure to derivatives will be limited to 50% of the net asset value of the Scheme at the time of transaction. Exposure is calculated as a percentage of the notional value to the net assets of the Scheme. The Scheme will maintain cash or securities to cover exposure to derivatives.

The Scheme may seek investment opportunity in the Foreign Securities (including ADR/ GDR/ foreign equity and equity related instruments), in accordance with guidelines stipulated in this regard by SEBI and RBI from time to time. Under normal circumstances, exposure to foreign securities subject to regulatory limits shall not be more than 35% of the Scheme's net assets. In addition to the instruments stated in the table above, the Scheme may enter into repos/ reverse repos as may be permitted by RBI. From time to time, the Scheme may hold cash equivalent securities. A part of the net assets may be invested in the Tri Party Repo (TREPs).

The Scheme may engage in short selling of securities in accordance with the framework relating to short selling and securities lending and borrowing specified by SEBI. Subject to the SEBI (MF) Regulations, as applicable from time to time, the Scheme may engage in Stock Lending. Stock Lending means the lending of stock to another person or entity for a filed period of time, at a negotiated compensation in order to enhance returns of the portfolio. The securities lent will be returned by the borrower on the expiry of the stipulated period. The Scheme will ensure compliance with SEBI (Mutual Funds) Regulations and with Securities Lending Scheme, 1997, SEBI Master Circular on Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 and framework for short selling and borrowing and lending of securities notified by SEBI from time to time.

The maximum exposure of the Scheme to a single intermediary in the stock lending at any point of time would be limited to 5% of the market value of its equity portfolio or upto such limits as may be specified by SEBI.

The Scheme will not engage in stock lending and borrowing for more than 20% of net assets of the scheme. The Scheme will not lend more than what is permitted under applicable SEBI (Mutual Funds) Regulations.

The Scheme will not lend more than what is permitted under applicable SEBI (Mutual Funds) Regulations.

For detailed understanding on Securities lending by the Scheme, Investors are requested to refer to SAI.

The Mutual Fund may not be able to sell such lent out securities and this can lead to temporary illiquidity.

Pending deployment of funds of the Scheme in securities in terms of the investment objective of the Scheme, the AMC may park the funds of the Scheme in short term deposits of scheduled commercial banks, subject to the guidelines issued by SEBI vide its Master circular on Mutual Funds dated June 27, 2024, as amended from time to time.

These limits will be reviewed by the AMC from time to time based on views on the equity markets and asset liability management needs. However, at all times the portfolio of the Scheme will adhere to the overall investment objective of the Scheme.

Investors should note that companies or sectors which are very capital intensive, which have low returns on capital ratios and/ or which have very volatile business prospectus may not be considered for investment at all. Performance of the Scheme will defer to the extent these companies/ sectors are represented in the Benchmark indices.

Indicative Table (Actual instrument/percentages may vary subject to applicable SEBI circulars)

Sl. no	Type of Instrument	Percentage of exposure	Circular references
1.	Securities Lending	Upto 20% of net assets in securities lending and not more than 5% of the market value of its equity portfolio i.e the limit of 5% will be at broker level will be deployed with single intermediary or upto such limits as may be specified by SEBI.	SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 – Clause 12.11-Stock Lending scheme
2.	Securitized Debt	Upto 25% of the net asset of the Scheme	SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024– Clause 12.15- Investment restrictions for securitized debt
3.	Overseas Securities	Upto 35% of the net assets, subject to maximum USD 1 billion at fund house level	SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024– Clause 12.19- Overseas investment and SEBI Circular no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/149 dated November 4, 2024
4.	REITs and InvITs	Upto 10% of the net assets	SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024– Clause 12.21- Investments in units of REITs / InvITs
5.	Structured obligations, credit enhancements	The scheme will invest in these securities as per the SEBI permissible limits	SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024– Clause 12.3- Investment in instruments having special features
6.	Repo / reverse repo in Corporate debt securities	Upto 10% of the net assets and only in Listed AA and above rated corporate debt	SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024– Clause 12.18.1.1-

		securities, Commercial paper and Certificate of deposits.	Participation of mutual funds in repo in corporate debt securities
7.	Short term deposits with scheduled commercial banks	Upto 15% of net assets, which can be extended to 20% with prior approval of the Trustees. Parking of funds in short term deposits of associate and sponsor scheduled commercial banks together shall not exceed 20% of the total deployment by the Mutual Fund in short term deposits.	SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024– Clause 12.16- Investment in short term deposits of scheduled commercial banks – pending deployment
8.	Mutual Fund Units	Upto 5% of the net assets of the Mutual Fund (i.e. across all the schemes of the Fund)	Clause 4 of Seventh Schedule of SEBI (MF) Regulations
9.	Covered Call derivatives	As per regulatory limits	SEBI Master circular for Mutual Funds dated June 27, 2024 – Clause 12.25- Norms for investment and disclosure by Mutual Funds in derivatives

As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the cumulative gross exposure through equity, debt, derivative positions (including commodity and fixed income derivatives), repo transactions and credit default swap in corporate debt securities, Real Estate Investment Trusts (REITs), Infrastructure Investment Trusts (InvITs), other permitted securities/assets and such other securities/ assets as may be permitted by SEBI from time to time shall not exceed 100% of the net assets of the Scheme.

Change in Asset Allocation/ Investment Pattern

Subject to SEBI (MF) Regulations, the asset allocation pattern indicated above may change from time to time, keeping in view market conditions, market opportunities, applicable regulations and political and economic factors. It must be clearly understood that the percentages stated above are only indicative and not absolute and that they can vary substantially depending upon the perception of the Investment Manager, the intention being at all times to seek to protect the interests of the Unit holders. Such changes in the investment pattern will be for short term and for defensive consideration only. In the event of change in the asset allocation, the fund manager will carry out portfolio rebalancing within 30 calendar days or such other timeline as may be prescribed by SEBI from time to time.

It may be noted that no prior intimation/indication would be given to investors when the fund manager deviates from the asset allocation mentioned above for short term or for defensive considerations, including factors such as market conditions, market opportunities, applicable regulations and political and economic factors. In case such deviations are carried, the fund manager shall endeavor to rebalance the asset allocation within 30 calendar days of the deviation. The investors/unit holders can ascertain details of asset allocation of the scheme as on the last date of each month on AMC's website at www.amc.ppfas.com that will display the asset allocation of the scheme as on the given day.

Portfolio Rebalancing due to passive breaches

SEBI vide it's Master Circular no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 on Timelines for Rebalancing of Portfolios of Mutual Fund Schemes, the following have been mandated for the applicable schemes of Mutual Funds:

In the event that the asset allocation of the scheme should deviate from the ranges as stated in asset allocation table above, then the portfolio of the scheme will be rebalanced by the fund manager for the position indicated in the asset allocation table above within a maximum period of 30 business days from the date of said deviation.

In case the portfolio of schemes mentioned are not rebalanced within the above mandated timelines (i.e. 30 Business Days), justification in writing, including details of efforts taken to rebalance the portfolio shall be placed before Investment Committee. The Investment Committee, if so desires, can extend the timelines up to sixty (60) business days from the date of completion of the mandated rebalancing period.

In case the portfolio of schemes is not rebalanced within the aforementioned mandated plus extended timelines, AMCs shall:

i. not be permitted to launch any new scheme till the time the portfolio is rebalanced.

ii. not to levy exit load, if any, on the investors exiting such scheme(s).

As per SEBI Circular no. SEBI/HO/IMD/PoD2/P/CIR/2025/92 dated June 26, 2025, in case of all passive breaches across actively managed mutual fund schemes (excluding Index Funds and ETFs), including those arising due to corporate actions, market movements, instrument maturity or large redemptions etc., the portfolios shall be rebalanced within 30 business days from the date of breach. This requirement shall also be applicable to breaches of issuer limits, sectoral limits and group exposure limits.

Debt Market in India

The instruments available in Indian Debt Market are classified into two categories, Government and Non – Government debt securities. The following instruments are available in these categories:

A) Government Debt Securities

- ★ Central Government Debt
- ★ Treasury Bills
- ★ Dated Government Securities
 - Coupon Bearing Bonds
 - Floating Rate Bonds
 - Zero Coupon Bonds
- ★ State Government Debt
 - State Government Loans
 - Coupon Bearing Bonds

B) Non-Government Debt

- ★ Instruments issued by Government Agencies and other Statutory Bodies
- Government Guaranteed Bonds
- PSU Bonds

C) Instruments issued by Public Sector Undertakings

- ★ Commercial Paper
- ★ PSU Bonds
- ★ Fixed Coupon Bonds
- ★ Floating Rate Bonds
- ★ Zero Coupon Bonds

Instruments issued by Banks and Development Financial Institutions

- ★ Certificates of Deposit
- ★ Promissory Notes
- ★ Bonds
 - ★ Fixed Coupon Bonds
 - ★ Floating Rate Bonds
 - ★ Zero Coupon Bonds

Instruments issued by Corporate Bodies

- ★ Commercial Paper
- ★ Non-Convertible Debentures

- ★ Fixed Coupon Debentures
- ★ Floating Rate Debentures
- ★ Zero Coupon Debentures
- ★ Pass Through certificates

Instruments that comprise a major portion of money market activity include,

- ★ Overnight Call
- ★ Corporate Debt Repo
- ★ Repo/Reverse Repo Agreements
- ★ Tri Party Repo/Reverse Repo
- ★ Treasury Bills
- ★ Government Securities with a residual maturity of < 1 year
- ★ Commercial Paper and Certificates of Deposit

Apart from these, there are some other options available for short tenure investments that include MIBOR linked debentures with periodic exit options and other such instruments.

B. WHERE WILL THE SCHEME INVEST?

The corpus of the Scheme shall be invested in any (but not exclusively) of the following securities (as allowed by applicable regulations):

- 1) Equity and equity related instruments;
- 2) Debt securities;
- 3) Money Market Instruments;
- 4) Investment in Securitised Debt;
- 5) Investment in Mutual Fund Schemes;
- 6) Applicable Derivatives
- 7) Foreign Securities (only equity and equity related instruments)
- 8) Debt Securities (including Units) issued by REITs & InvITs
- 9) Writing of covered call options
- 10) Non-convertible Preference Shares (to be considered as Debt Instruments)

Investment in foreign/overseas securities shall be made in accordance with the requirements stipulated by SEBI and RBI from time to time.

For applicable regulatory investment limits, please refer the section on "Investment Restrictions", under Section II.

The Fund Manager reserves the right to invest in such other securities as may be permitted from time to time and which are in line with the investment objectives of the Scheme.

Subject to the above, any change in the asset allocation affecting the investment profile of the Scheme shall be effected only in accordance with the provisions of sub regulation (15A) of Regulation 18 of the SEBI (Mutual Funds) Regulations, 1996, as detailed later in this document.

C. WHAT ARE THE INVESTMENT STRATEGIES?

Investment approach of the Scheme is governed by following guiding principles:

Focus on the long term

Investments would be made with a long term perspective. The investment objective of the Scheme is to seek to generate long-term capital growth from an actively managed portfolio primarily of Equity and Equity related securities.

The Fund Manager will follow an active investment strategy primarily based on fundamental research driven bottom up stock selection approach. Since Investing requires disciplined risk management, the AMC would incorporate safeguards seeking to control risks in the portfolio construction process. Such safeguards would include reasonable diversification of the portfolio, which the AMC aims to achieve by spreading the investments over a range of industries, sectors and market capitalizations.

Investments confer proportionate ownership

The approach to valuing a company is similar to making an investment in a business. Therefore, there is a need to have a comprehensive understanding of how the business operates. The key issues to focus on are growth opportunities, sustainable competitive advantage, industry structure, margins, quality of the management and protection of minority shareholders.

Maintain a margin of safety

The benchmark for determining relative attractiveness of stocks would be the intrinsic value of the business. The Investment Manager would endeavor to purchase stocks that represent a discount to this value, in an effort to preserve capital and generate superior growth.

Maintain a balanced outlook on the market

The investment portfolio would be regularly monitored to understand the impact of changes in business and economic trend. While short-term market volatility would affect valuations of the portfolio, this is not expected to influence the decision to own fundamentally strong companies.

Disciplined approach to selling

The decision to sell a holding would be based on either the anticipated price appreciation being achieved or being no longer possible due to a change in fundamental factors affecting the company or the market in which it competes, or due to the availability of an alternative that, in the view of the Investment Manager, offers superior returns.

In summary, the Investment Strategy is expected to be a function of extensive research and based on data and reasoning, rather than current trends. The objective will be to identify “businesses with superior growth prospects and good management, at a reasonable price”.

The Scheme will retain the flexibility to invest in the entire range of debt instruments and money market instruments. Investment in Debt securities and Money Market Instruments will be as per the limits in the asset allocation table of the Scheme, subject to permissible limits laid under SEBI (MF) Regulations.

Investors may refer to the SAI for details on the Derivative strategies along with illustrations for better understanding.

Portfolio Turnover:

Portfolio turnover is a measure that is used to assess the level of transactional activity within a scheme by calculating the proportion of the securities that are held within the underlying portfolio that are bought and sold during a specified period of typically 1 year. Portfolio Turnover is defined as the lower of sales or purchases divided by the average net asset value of the Scheme over the relevant period.

The Scheme is an open-ended Scheme. It is expected that there would be a number of subscriptions and redemptions on a daily basis. Consequently, it is difficult to estimate with any reasonable measure of accuracy, the likely turnover in the portfolio.

Investors should note that high portfolio turnover may lead to reduced returns on investments due to additional transaction costs.

D. HOW WILL THE SCHEME BENCHMARK ITS PERFORMANCE?

The performance of the Scheme will be benchmarked with **Nifty 500 TRI**.

Justification: NIFTY 500 TRI have been chosen as the benchmark for the Scheme as the composition of the aforesaid index is such that it is most suited for comparing performance of the Scheme. As required under SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the benchmark has been selected from amongst those notified by AMFI as the first tier benchmark to be adopted by mutual funds and which are reflective of the category of the scheme.

The Scheme aims to generate regular income through investments in debt and money market instruments. The Scheme also seeks to generate long term capital appreciation from the portion of equity investments under the scheme. The performance will be benchmarked to the Total Returns Variant of the Index.

The Trustees reserves the right to change the benchmark for evaluation of performance of the Scheme from time to time in conformity with the investment objectives and appropriateness of the benchmark subject to SEBI (Mutual Funds) Regulations, and other prevailing guidelines, if any.

E. WHO MANAGES THE SCHEME?

Name and Age	Educational Qualifications	Experience	Other Fund Managed
Rajeev Thakkar (Chief Investment officer - Equity and Fund Manager - Equity) 53 years (Managing since inception)	B. Com. (Bombay University) Chartered Accountant CFA Charter Holder Grad ICWA	Till March 2012, he was acting as a Chief Executive Officer of PPFAS (Sponsor Company). He joined the company in 2001. He started his career in the year 1994 and he has experience of working in areas like; merchant banking, managing fixed income portfolio, broking operations, PMS operations for over two decades. He was functioning as a Fund Manager for PMS service of PPFAS managing a portfolio of around Rs. 300 crores. He is acting as Chief Investment Officer - Equity and Equity Fund Manager to the Company.	Parag Parikh ELSS Tax Saver Fund (PPTSF), Parag Parikh Conservative Hybrid Fund(PPCHF) Parag Parikh Arbitrage Fund (PPAF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF).

Raunak Onkar (Dedicated Fund Manager for Overseas Investments and Head - Research) 40 years (Managing since inception)	Bsc. IT (Bombay University) MMS- Finance (Bombay University)	He has more than 10 years of experience in the capital market. He started his career with Parag Parikh Financial Advisory Services Limited, following his internship, in the year 2009. He joined PPFAS as a research analyst. He was appointed as Head- Research in the year 2011. He is working with the company as a Dedicated Fund Manager for the Overseas Investment.	Parag Parikh ELSS Tax Saver Fund (PPTSF), Parag Parikh Conservative Hybrid Fund (PPCHF) Parag Parikh Arbitrage Fund (PPAF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF).
Raj Mehta (Executive Vice President & Fund Manager – Equity) 36 years (Managing since September 01, 2025)	B.Com (Mumbai University) M.Com (Mumbai University) Chartered Accountant CFA Charter Holder	He is appointed as a Fund Manager - Equity with effect from September 01, 2025. He started his career with PPFAS Asset Management Pvt Ltd as an intern in 2012. Following which, he joined the company as a Research Analyst in 2013.	Parag Parikh ELSS Tax Saver Fund (PPTSF), Parag Parikh Conservative Hybrid Fund (PPCHF) Parag Parikh Arbitrage Fund (PPAF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF).
Rukun Tarachandani (Executive Vice President & Fund Manager – Equity) 36 years (Managing since May 16, 2022)	Post Graduate Diploma in Management (Specialization: Finance), B. Tech (Information Technology) Chartered Financial Analyst (CFA) Charterholder Certificate in Quantitative Finance (CQF)	He is appointed as a Fund Manager - Equity with effect from May 16, 2022. Mr. Rukun Tarachandani has more than 10 years of experience in the financial market in Equity research and Fund Management (Arbitrage). He is based in Mumbai and will be responsible for fund management of the equity portion of schemes of PPFAS Mutual Fund. He joined PPFAS Asset	Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Conservative Hybrid Fund.(PPCHF) Parag Parikh Arbitrage Fund (PPAF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF).

		Management Pvt. Ltd. in March 2021 as Vice President - Research. He is involved in Quantitative Research to identify investment opportunities in listed equities. Prior to joining PPFAS Asset Management Limited his previous assignments held during the last 10 years were as below: 1. Goldman Sachs (India) Securities Pvt Ltd (From April 2013 to March 2015): He was part of the Sell-side Equity Research team focussed on US Banks and Credit Card companies 2. Kotak Mahindra Asset Management Company Limited (From March 2015 to February 2021) Mr. Rukun was appointed as an Equity Research analyst and was involved in Equity Research for Indian stocks across market capitalization and across sectors. He was also responsible for identifying and evaluating special situation investment opportunities in listed equities. He also managed the Kotak Equity Arbitrage Fund from May-2019 to Dec-2019.	
Tejas Soman (Chief Investment Officer – Debt & Fund Manager - Debt) 33 years (Managing since September 01, 2025)	CFA Level III Candidate Post Graduate Program Securities Markets, National Institute of Securities Markets (NISM)	Mr. Tejas Soman has spent over a decade in the fixed income markets. Prior to PPFAS, He worked with SBI Funds Management Ltd. as a Fund Manager, where he managed a range of fixed income portfolios. He has also worked with Yes Bank in its primary dealership unit, STCI Primary Dealership, and PricewaterhouseCoopers in tax and regulatory advisory. He holds his post-graduation in securities markets from National Institute of Securities Markets (NISM).	Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Conservative Hybrid Fund(PPCHF) Parag Parikh Arbitrage Fund (PPAF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF). Parag Parikh Liquid Fund (PPLF)

Mansi Kariya (Associate Vice President & Fund Manager- Debt) 38 Years (Managing since December 22, 2023)	CFA Charter Hoder MS-(Finance) B.com (Hons)	Ms. Mansi Kariya joined PPFAS Asset Management Private Limited in 2018 as Debt Dealer. She is appointed as a Fund Manager - Debt with effect from December 22, 2023. In her previous roles, she has also worked as a research associate and senior executive debt products for 3.5 years.	Parag Parikh Conservative Hybrid Fund (PPCHF) Parag Parikh Dynamic Asset Allocation Fund (PPDAAF) Parag Parikh Liquid Fund (PPLF)
Aishwarya Dhar (Senior Manager & Fund Manager - Debt) 38 Years (Managing since September 01, 2025)	MBA- Finance	Ms. Aishwarya has started her career with Tata AIA Life Insurance Co. Ltd as Executive Finance from September 2012 till May 2015 and handled Accounts Payable & Procurement. She had further joined the Debt Dealing team in ManipalCigna Health Insurance Co. Ltd. as Deputy Manager – Dealer Portfolio from June 2015 till March 2021. She had a total experience of 8 Years and 6 months in the Financial Service Industry. Ms. Aishwarya Dhar was appointed as a Debt Dealer for the Schemes of the PPFAS Mutual Fund in March 2021. She was appointed as Fund Manager – Debt with effect from September 1, 2025	Parag Parikh ELSS Tax Saver Fund (PPTSF) Parag Parikh Arbitrage Fund (PPAF) Parag Parikh Liquid Fund (PPLF)

F. HOW IS THE SCHEME DIFFERENT FROM THE EXISTING SCHEMES OF THE MUTUAL FUND?

The existing open-ended equity scheme of PPFAS Mutual Fund is as below:

Sr.No.	Name of scheme	Type of scheme
1	Parag Parikh ELSS Tax Saver Fund	An open ended equity linked saving scheme with a statutory lock in of 3 years and tax benefit

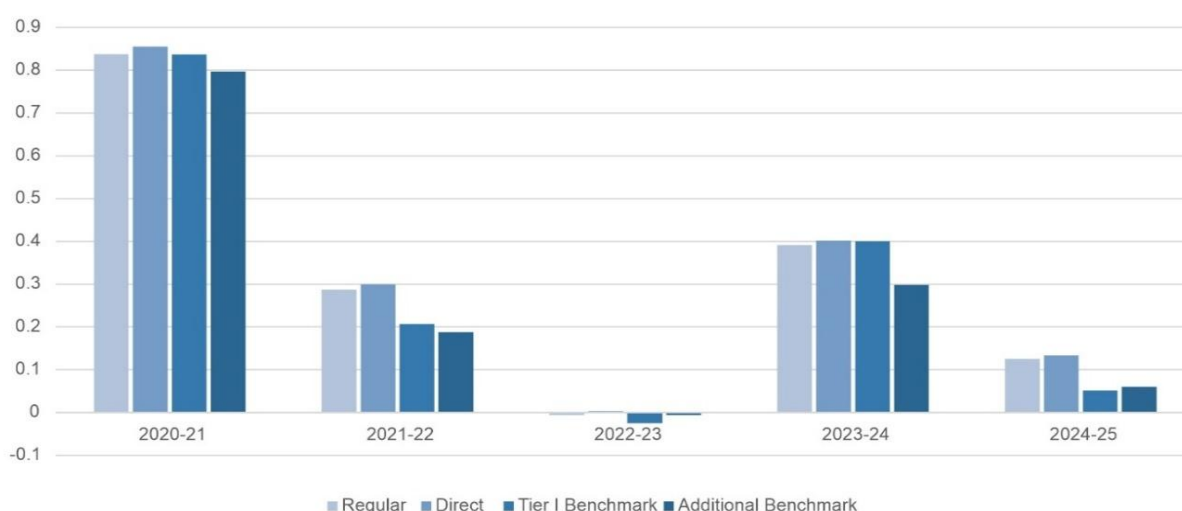
For a detailed comparison table of aspects viz., scheme type, investment objective, differentiation, Assets Under Management and No. of folios of each of the above schemes, kindly refer the below link - <https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/>

G. HOW HAS THE SCHEME PERFORMED

Performance	Direct Plan	Regular Plan	AMFI Tier I Benchmark (NIFTY 500 TRI)	Additional Benchmark (NIFTY 50 TRI)
September 30, 2024 to September 30, 2025 (Last 1 Year)	3.93%	3.23%	-5.28%	-3.45%
September 30, 2022 to September 30, 2025 (Last 3 Years)	22.65%	21.74%	16.38%	14.21%
September 30, 2020 to September 30, 2025 (Last 5 Years)	22.82%	21.78%	20.70%	18.36%
September 30, 2015 to September 30, 2025 (Last 10 Years)	19.01%	18.11%	14.34%	13.34%
Since Inception (24 May, 2013) *	19.67%	18.83%	14.92%	13.53%

* Since inception returns are calculated on Rs. 10 (allotment price)

Absolute Returns for each Financial Year for the last Five years



Notes:

1. Different plans shall have different expense structures.
2. Past performance may or may not be sustained in the future and is not a guarantee of future return.
3. Greater than 1 year returns are CAGR returns.
4. AMFI Tier I Benchmark: Nifty 500 TRI.
5. Additional Benchmark: Nifty 50 TRI.
6. Inception date of the scheme (24-May-2013). Face Value per unit: Rs. 10/-.

H. ADDITIONAL SCHEME RELATED DISCLOSURES

Sr.	Disclosure	Website link/ Details
i)	Scheme's portfolio holdings (top 10 holdings by issuer and fund allocation towards various	https://amc.ppfas.com/downloads/portfolio-disclosure/

	sectors)																																																
ii)	Portfolio Disclosure - Monthly/ Half Yearly	Monthly – https://amc.ppfas.com/downloads/portfolio-disclosure/ Half yearly – https://amc.ppfas.com/schemes/scheme-s-financial-half-yearly/																																															
iii)	Portfolio Turnover Rate (for equity schemes)	As on September 30, 2025: Portfolio Turnover (Incl. Equity Arbitrage): 37.19% Portfolio Turnover (Excl. Equity Arbitrage): 14.18%																																															
iv)	Aggregate investment in the Scheme by Fund Manager (Details of investment by AMC Key personnel and Directors is part of SAI)	<table><tr><th colspan="5">As on September 30, 2025</th></tr><tr><th rowspan="2">Sr. No</th><th rowspan="2">Name of Fund Manager(s)</th><th colspan="2">Net Value</th><th rowspan="2">Market Value (in Rs.)</th></tr><tr><th>Units</th><th>NAV per unit</th></tr><tr><td>1</td><td>Rajeev Thakkar</td><td>3080944.598</td><td>92.0956</td><td>28,37,41,441.32</td></tr><tr><td>2</td><td>Raunak Onkar</td><td>368222.335</td><td>92.0956</td><td>3,39,11,656.88</td></tr><tr><td>3</td><td>Raj Mehta</td><td>112411.996</td><td>92.0956</td><td>1,03,52,650.22</td></tr><tr><td>4</td><td>Rukun Tarachandani</td><td>62795.436</td><td>92.0956</td><td>57,83,183.36</td></tr><tr><td>5</td><td>Tejas Soman</td><td>861.383</td><td>92.0956</td><td>79,329.58</td></tr><tr><td>6</td><td>Mansi Kariya</td><td>4699.963</td><td>92.0956</td><td>4,32,845.91</td></tr><tr><td>7</td><td>Aishwarya Dhar</td><td>349.233</td><td>92.0956</td><td>32,162.82</td></tr></table> *Mr. Tejas Soman, Ms. Aishwarya Dhar (Debt Segment) and Raj Mehta (Equity segment) are managing the fund w.e.f. September 01, 2025.	As on September 30, 2025					Sr. No	Name of Fund Manager(s)	Net Value		Market Value (in Rs.)	Units	NAV per unit	1	Rajeev Thakkar	3080944.598	92.0956	28,37,41,441.32	2	Raunak Onkar	368222.335	92.0956	3,39,11,656.88	3	Raj Mehta	112411.996	92.0956	1,03,52,650.22	4	Rukun Tarachandani	62795.436	92.0956	57,83,183.36	5	Tejas Soman	861.383	92.0956	79,329.58	6	Mansi Kariya	4699.963	92.0956	4,32,845.91	7	Aishwarya Dhar	349.233	92.0956	32,162.82
As on September 30, 2025																																																	
Sr. No	Name of Fund Manager(s)	Net Value		Market Value (in Rs.)																																													
		Units	NAV per unit																																														
1	Rajeev Thakkar	3080944.598	92.0956	28,37,41,441.32																																													
2	Raunak Onkar	368222.335	92.0956	3,39,11,656.88																																													
3	Raj Mehta	112411.996	92.0956	1,03,52,650.22																																													
4	Rukun Tarachandani	62795.436	92.0956	57,83,183.36																																													
5	Tejas Soman	861.383	92.0956	79,329.58																																													
6	Mansi Kariya	4699.963	92.0956	4,32,845.91																																													
7	Aishwarya Dhar	349.233	92.0956	32,162.82																																													
v)	AMC’s investment in the Scheme	The AMC, Trustee, Sponsor, or their associates may invest in the Scheme subject to the SEBI Regulations & circulars issued by SEBI and to the extent permitted by its Board of Directors from time to time. As per the existing SEBI Regulations, the AMC will not charge investment management and advisory fees on the investment made by it in the Scheme. The AMC shall based on the risk value assigned to the scheme, in terms of para 17.4 of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, shall invest minimum amount as a percentage of assets under management ('AUM') as per provisions of para 6.9 and 6.10 of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 as amended from time to time. Link : https://amc.ppfas.com/statutory-																																															

		<u>disclosures/mandatory-skin-in-the-game-for-amc/</u>
--	--	--

Part III- OTHER DETAILS

A. COMPUTATION OF NAV

The Net Asset Value (NAV) per Unit of the Scheme(s) will be computed by dividing the net assets of the Scheme(s) by the number of Units outstanding under the Scheme on the valuation date. The Mutual Fund will value its investments according to the valuation norms, as specified in Schedule VIII of the SEBI (MF) Regulations, or such norms as may be specified by SEBI from time to time. NAV of Units of under each Scheme / Plan shall be calculated as shown below:

$$\begin{aligned} & \text{Market or Fair Value of the Scheme's Investments} \\ & + \text{Current Assets including Accrued income} \\ & - \text{Current Liabilities and Provisions} \end{aligned}$$

$$\text{NAV (Rs) per unit} = \frac{\text{Market or Fair Value of the Scheme's Investments} + \text{Current Assets including Accrued income} - \text{Current Liabilities and Provisions}}{\text{No. of Units outstanding under the Scheme / Plan/ Option on the Valuation day}}$$

The NAV of the Scheme(s) will be calculated and disclosed at the close of every Business Day.

The AMC will calculate and disclose the first NAV of the Scheme within a period of 5 business days from the date of allotment. Subsequently, the NAVs will be calculated for all the Business Days. Separate NAV will be declared for Direct and Regular Plan (Please refer to SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024).

The NAV of the Scheme(s) will be calculated up-to 4 decimals. Units will be allotted up-to 3 decimals.

NAV will also be displayed on the website of the Mutual Fund. In addition, the ISCs would also display the NAV.

The Fund will ensure the repurchase price of the scheme shall not be lower than 97% of the NAV as provided for under the regulations.

For other details such as policy on computation of NAV, investment in foreign securities, rounding off, procedure in case of delay in disclosure of NAV etc., kindly refer to SAI.

Illustration for Computation of NAV:

NAV for the Scheme shall be calculated as shown below:

Particulars	Amount (In INR)
Assets	
Investments (at Market Value)	10,000
(Equity/Debt/Derivatives)	
Current Assets	
Interest receivable	1,000
Dividend Receivables	550
Trades Receivables	1,500
Total Assets (A)	13,050
Current Liabilities	
Trade Payables	1,500
Expense Payable	25
Dividend payable	25
Total Liabilities (B)	1,550
Net Assets (C) (A – B)	11,500
Units Outstanding (D)	1,000
NAV per unit (C/D)	₹ 11.50

B. NEW FUND OFFER (NFO) EXPENSES

These expenses are incurred for the purpose of various activities related to the NFO like sales and distribution fees, marketing and advertising expenses, Registrar & Transfer Agents' expenses, printing and stationary, bank charges etc.

In accordance with the provisions of SEBI Master circular no. SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the NFO expenses shall be borne by the AMC/ Trustee/Sponsor and not by the scheme of mutual fund.

C. ANNUAL SCHEME RECURRING EXPENSES

These are the fees and expenses for operating the Scheme. These expenses include Investment Management and Advisory Fee charged by the AMC, Registrar and Transfer Agents' fee, marketing and selling costs etc. as given in the table below:

The AMC has estimated that the following % of the daily net assets of the Scheme will be charged to the Scheme as expenses. Please refer to the table below for details. For the actual current expenses being charged, the investor should refer to the website of the Mutual Fund viz. <https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/>.

Sr. No	Expenses Head	(% p.a. of Daily Net Assets* (Estimated p.a.)
i.	Investment Management & Advisory Fees	Upto 2.25%
ii.	Trustee Fees	
iii.	Audit Fees	
iv.	Custodial Fees	
v.	Registrar & Transfer Agent Fees including cost of providing account statements / IDCW / redemption cheques/ warrants	
vi.	Marketing & Selling expenses incl. agent commission and statutory advertisement	
vii.	Costs related to investor communications	
viii.	Cost of fund transfer from location to location	
ix.	Cost towards investor education & awareness (at least 0.02 percent p.a)	
x.	Brokerage & transaction cost pertaining to distribution of units	
xi.	Goods and Services tax on expenses other than investment and advisory fees	
xii.	Goods and Services tax on brokerage and transaction cost	
xiii.	Other Expenses (to be specified as per Reg 52 of SEBI MF Regulations)	
A.	Maximum total expense ratio (TER) permissible under Regulation 52 (6) (c)	Upto 2.25%
B.	Additional expenses under regulation 52(6A)(c)^	Upto 0.05%

^ In terms of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, 'in case exit load is not levied / not applicable, the AMC shall not charge the said additional expenses.

All scheme related expenses including commission paid to distributors, by whatever name it may be called and in whatever manner it may be paid, shall necessarily be paid from the scheme only within the regulatory limits and not from the books of the Asset Management Companies (AMC), its associate, sponsor, trustee or any other entity through any route. However, expenses that are very small in value but high in volume may be paid out of AMC's books at actuals or not exceeding 2 bps of respective Scheme AUM, whichever is lower. A list of such miscellaneous expenses will be as provided by AMFI in consultation with SEBI.

***Note: Expenses of Direct Plan will be lower than expenses of the Regular Plan as no commission/distribution expenses will be charged in the case of Direct Plan. All fees and expenses charged in a direct plan (in percentage terms) under various heads including the investment and advisory fee shall not exceed the fees and expenses charged under such heads in a regular plan. NAV of the Direct Plan will be different than the NAV of Regular Plan.**

***Impact of TER on Scheme returns (for both Direct and Regular plans)**

Expense ratio, normally expressed as a percentage of Average Assets under Management, is calculated by dividing the permissible expenses under the Regulations by the average net assets.

To further illustrate the above, for the Scheme under reference, suppose an Investor invested ₹ 10,000/- under the Growth Option, the impact of expenses charged will be as under:

Particulars	Regular Plan	Direct Plan
Amount invested at the beginning of the year (Rs.)	10,000	10,000
Returns before expenses (Rs.)	1,500	1,500
Expenses other than Distribution expenses (Rs.)	150	150
Distribution expenses (Rs.)	50	0
Returns after expenses at the end of the year (Rs.)	1300	1350
Returns (in %)	13%	13.5%

Notes:

- The purpose of the above illustration is purely to explain the impact of expense ratio charged to the Plan(s) under the Scheme and should not be construed as providing any kind of investment advice or guarantee of returns on investments.
- It is assumed that the expenses charged are evenly distributed throughout the year.
- The expenses of the Direct Plan of the Scheme will be lower to the extent of the distribution expenses/commission
- Any tax impact has not been considered in the above example, in view of the individual nature of the tax implications. Each investor is advised to seek appropriate advice.

The exact web link for TER Disclosure: <https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/>

As per Para B of the SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, GST shall be charged as follows:

1. GST on investment management and advisory fees shall be charged to the Scheme in addition to the maximum limit of TER as prescribed in Regulation 52 (6) of the SEBI (MF) Regulations.
2. GST on other than investment management and advisory fees, if any, shall be borne by the Scheme within the maximum limit of TER as prescribed in Regulation 52 (6) of the SEBI (MF) Regulations.
3. GST on exit load, if any, shall be paid out of the exit load proceeds and exit load net of GST, if any, shall be credited to the Scheme.
4. GST on brokerage and transaction cost paid for execution of trade, if any, shall be within the limit prescribed under Regulation 52 of the SEBI (MF) Regulations.

The AMC shall charge the Mutual Fund with investment and advisory fee as prescribed in the SEBI (MF) Regulations from time to time. Presently, the SEBI (MF) Regulations permit fees as follows:

The recurring expenses of the Scheme shall be as per the limits prescribed under the SEBI (MF) Regulations. These are as follows:

Assets under management Slab (Rs. In Crore)	Total Expense ratio format
On the first Rs. 500 crores of the daily net assets	2.25 % p.a;
On the next Rs. 250 crores of the daily net assets	2.00 %p.a;
On the next Rs. 1,250 crores of the daily net assets	1.75 % p.a;
On the next Rs. 3,000 crores of the daily net	

assets	1.60 % p.a;
On the next Rs. 5,000 crores of the daily net assets	1.50 % p.a
On the next Rs. 40,000 crores of the daily net assets	Total expense ratio reduction of 0.05% for every increase of Rs. 5,000 crores of daily net assets or part thereof.
On the balance of the assets	1.05 p.a %;

It is possible that the AMC may charge the maximum recurring expenses provided above as investment management and advisory fees. In such case the other recurring expenses will not be charged to the Scheme.

In terms of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 the AMC shall annually set apart at least 0.02% on daily net assets within the maximum limit of recurring expenses as per Regulation 52 for investor education and awareness initiatives.

1. Brokerage and transaction cost incurred for the purpose of execution of trade shall be charged to the schemes as provided under Regulation 52 (6A) (a) upto 12 bps and 5 bps for cash market transactions and derivatives transactions respectively. Any payment towards brokerage & transaction costs, over and above the said 12 bps and 5 bps for cash market transactions and derivatives transactions respectively, may be charged to the Scheme within the maximum limit of Total Expense Ratio (TER) as prescribed under Regulation 52 of the SEBI (Mutual Funds) Regulations, 1996.

2. As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, additional expenses of 30 basis points, shall be charged based on inflows only from retail investors from beyond top 30 cities.

As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, inflows of amount upto Rs 2,00,000/- per transaction, by individual investors shall be considered as inflows from "retail investor".

Note: SEBI vide its letter no. SEBI/HO/IMD-SEC-3/P/OW/2023/5823/1 dated February 24, 2023, and AMFI letter dated No.35P/MEM-COR/85-a/2022-23 dated March 02, 2023, has directed AMCs to keep B-30 incentive structure in abeyance with effect from March 01, 2023 till further notice.

Currently, SEBI has specified that the above additional expense may be charged for inflows from beyond 'Top 30 cities'. Top 30 cities shall mean top 30 cities based on Association of Mutual Funds in India (AMFI) data on 'AUM by Geography - Consolidated Data for Mutual Fund Industry' as at the end of the previous financial year.

3. Expenses not exceeding 0.05% p.a. of daily net assets towards Investment Management and Advisory Fees and the various sub-heads of recurring expenses mentioned under Regulation 52 (2) and (4) respectively of SEBI (MF) Regulations. However, in terms of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, in case exit load is not levied / not applicable, the AMC shall not charge the said additional expenses to the scheme.

The total expenses of the Scheme including the Investment Management and Advisory Fee shall not exceed the limits stated in Regulation 52 of the SEBI (MF) Regulations.

The total expense ratios of the schemes of the Fund are available in downloadable spreadsheet format on the AMC website and AMFI website. Any change in the current expense ratios will be updated at least three working days prior to the effective date of the change. For the current total expense ratio details of the Scheme, investors may visit <https://amc.ppfas.com/statutory-disclosures/total-expense-ratio-TER/> available on the website of the AMC viz., www.amc.ppfas.com and AMFI's website viz., www.amfiindia.com.

D. LOAD STRUCTURE

Load is an amount which is paid by the investor to subscribe to the units or to redeem the units from the scheme. This amount is used by AMC to pay commissions to the distributor and to take care of other marketing and selling expenses. Load amounts are variable and are subject to change from time to time. For the current applicable structure, please refer to the website of the AMC (<http://amc.ppfas.com>) or call at [1800-266-8909](tel:1800-266-8909) or your

distributor.

Type of Load	Load chargeable (as %age of NAV)
Entry Load	Not Applicable
Exit Load	In respect of each purchase / switch-in of Units, 10% of the units ("the limit") may be redeemed without any exit load from the date of allotment. Any redemption or switch-out in excess of the limit shall be subject to the following exit load: 2.00% if the investment is redeemed on or before 365 days from the date of allotment of units. 1.00% if the investment is redeemed after 365 days but on or before 730 days from the date of allotment of units. No Exit Load will be charged if investment is redeemed after 730 days from the date of allotment of units. Any exit load charged (net off GST, if any) shall be credited back to the Scheme. No exit load will be charged, in case of switch transactions between Regular Plan to Direct Plan of the Scheme for existing as well as prospective investors.

Under the Scheme, the Trustee / AMC reserves the right to modify / change the Load structure if it deems fit in the interest of smooth and efficient functioning of the Mutual Fund. The AMC reserves the right to introduce / modify the Load Structure depending upon the circumstances prevailing at that time subject to maximum limits as prescribed under the SEBI (Mutual Funds) Regulations.

The Load may also be changed from time to time and in the case of an Exit / Redemption Load this may be linked to the period of holding.

The Repurchase Price, however, will not be lower than 97% of the NAV as prescribed by SEBI from time to time.

Any imposition or enhancement of Exit Load in the load shall be applicable on prospective investments only. The investor is requested to check the prevailing load structure of the scheme before investing.

However, AMC shall not charge any load on the issue of bonus units and units allotted on reinvestment of IDCW for existing as well as prospective investors. At the time of changing the load structure the AMC / Mutual Fund may adopt the following procedure:

1. The addendum detailing the changes will be attached to Scheme Information Document and Key Information Memorandum and displayed on our website <http://amc.ppfas.com> The addendum will be circulated to all the distributors / brokers so that the same can be attached to all Scheme Information Document and Key Information Memorandum already in stock.
2. Arrangements will be made to display the changes / modifications in the Scheme Information Document in the form of a notice in all the Investor Service Centers and distributors / brokers office.
3. The introduction of the Load along with the details will be stamped in the acknowledgment slip issued to the investors on submission of the application form and will also be disclosed in the Account Statement or in the covering letter issued to the Unit holders after the introduction of such Load.
4. A public notice shall be given in respect of such changes in one English daily newspaper having nationwide circulation as well as in a newspaper published in the language of region where the Head Office of the Mutual Fund is situated.

5. GST on exit load, if any, shall be paid out of the exit load proceeds. The entire exit load (net of GST), charged, if any, shall be credited to the Scheme.
6. Any other majors which the mutual fund may feel necessary.

SECTION II

I. Introduction

A. Definitions/interpretation –

Visit: <https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/>

B. Risk factors

Scheme specific risk factors

Some of the specific risk factors related to the Scheme include, but are not limited to the following:

(i) Risk factors associated with investing in equities and equity related instruments

- The value of Scheme's investments may be affected by factors affecting the Securities markets and price and volume volatility in the capital markets, interest rates, currency exchange rates, changes in law/policies if the Government, taxation laws and political, economic or other developments which may have an adverse bearing on individual securities, a specific sector or all sectors. Consequently, the NAV of the units of the Scheme may be affected.

- Equity and equity related instruments/ securities are volatile and prone to price fluctuations on a daily basis. Investments in equity shares and equity related instruments involve a degree of risk and investors should not invest in the Scheme(s) unless they can afford to take the risks.

- The liquidity of investments made in the Scheme may be restricted by trading volumes and settlement periods. Settlement periods may be extended significantly by unforeseen circumstances. The inability of the Scheme to make purchases due to settlement problems could cause the Scheme to miss certain investment opportunities. Similarly, the inability to sell securities held in the Scheme's portfolio may result, at times, in potential losses to the Scheme, should there be a subsequent decline in the value of securities held in the Scheme's portfolio.

- Securities, which are not quoted on the stock exchanges, are inherently illiquid in nature and carry a larger amount of liquidity risk, in comparison to securities that are listed on the exchanges. Investment in such securities may lead to increase in the scheme portfolio risk. The liquidity and valuation of the Scheme's investments due to the holdings of unlisted securities may be affected if they have to be sold prior to the target date of disinvestment.

- While securities that are listed on the stock exchange carry lower liquidity risk, the ability to sell these investments is limited by the overall trading volume on the stock exchanges and may lead to the Scheme incurring losses till the security is finally sold.

- The Liquidity of the scheme is inherently restricted by trading volumes in securities in which it invests.

- Investment strategy to be adopted by the Scheme may carry the risk of significant variance between the portfolio allocation of the Scheme and the Benchmark particularly over a short to medium term period.

- Mid Cap and Small Cap Companies are generally less liquid in terms of trading volumes on stock exchanges. Risk to the scheme may increase in proportion to the investment made in Mid Cap and Small Cap Companies.

(ii) Risk factors associated with investing in Fixed Income Securities and Money Market Instruments

Price-Risk or Interest-Rate Risk: The Net Asset Value (NAV) of the Scheme, to the extent invested in Debt and Money Market securities, will be affected by changes in the general level of interest rates. The NAV of the Scheme is expected to increase from a fall in interest rates while it would be adversely affected by an increase in the level of interest rates. Generally, when interest rates rise, prices of fixed income securities fall and when interest rates drop, the prices increase. The extent of fall or rise in the prices is a function of the existing coupon, days to maturity and the increase or decrease in the level of interest rates

The changes in the prevailing rates of interest will likely affect the value of the Scheme's holdings until the next reset date and thus the value of the Schemes' Units will be affected. The value of securities held by the Scheme generally will vary inversely with changes in prevailing interest rates. The fund could be exposed to the interest rate risk (i) to the extent of time gap in resetting of the benchmark rates, and (ii) to the extent the benchmark index fails to capture the interest rate movement.

Money market securities, while fairly liquid, lack a well developed secondary market, which may restrict the selling ability of the Scheme and may lead to the Scheme incurring losses till the security is finally sold.

Credit Risk: Investment in Debt Securities is subject to the risk of an issuer's inability to meet interest and principal payments obligations. Investment is also subject to the risk of market perception of the creditworthiness of the issuer. i.e. even where no default occurs, the price of a security may go down because the credit rating of an issuer goes down.

Government securities where a fixed return is offered run price-risk like any other fixed income security. Generally, when interest rates rise, prices of fixed income securities fall and when interest rates drop, the prices increase. The extent of fall or rise in the prices is a function of the existing coupon, days to maturity and the increase or decrease in the level of interest rates. The price-risk is not unique to Government Securities. It exists for all fixed income securities. However, Government Securities are unique in the sense that their credit risk generally remains zero. Therefore, their prices are influenced only by movement in interest rates in the financial system.

Prepayment Risks: In the event of prepayments, investors may be exposed to changes in tenor and yield.

Re-investment Risk: Investments in fixed income securities carry re-investment risk as interest rates prevailing on the coupon payment or maturity dates may differ from the original interest rates and proceeds may get invested at a lower rate

Spread Risk: In a floating rate security the coupon is expressed in terms of a spread or mark up over the benchmark rate. However, depending upon the market conditions the spreads may move adversely or favorably leading to fluctuation in NAV.

Different types of fixed income securities in which the Scheme would invest as given in the SID carry different levels and types of risk. Accordingly, the Scheme risks may increase or decrease depending upon its investment pattern. e.g. corporate bonds carry a higher level of risk than Government securities. Further even among corporate bonds, bonds, which are AAA rated, are comparatively less risky than bonds, which are AA rated.

The AMC may, considering the overall level of risk of the portfolio, invest in lower rated / unrated securities offering higher yields as well as zero coupon securities that offer attractive yields. This may increase the absolute level of risk of the portfolio.

As zero coupon securities do not provide periodic interest payments to the holder of the security, these securities are more sensitive to changes in interest rates. Therefore, the interest rate risk of zero coupon securities is higher. The AMC may choose to invest in zero coupon securities that offer attractive yields. This may increase the risk of the portfolio.

Investments in fixed income securities carry re-investment risk as interest rates prevailing on the coupon payment or maturity dates may differ from the original interest rates.

A borrower may prepay a receivable prior to its due date. This may result in a change in the yield and tenor for the Scheme.

Securities, which are not quoted on the stock exchanges, are inherently illiquid in nature and carry a larger amount of liquidity risk, in comparison to securities that are listed on the exchanges or offer other exit options to the investor, including a put option. The AMC may choose to invest in unlisted securities within the regulatory limit. This may increase the risk of the portfolio.

Scheme's performance may differ from the benchmark index to the extent of the investments held in the debt segment, as per the investment pattern indicated under normal circumstances.

Redemption risk: The Scheme at times may receive a large number of redemption requests, leading to an asset-liability mismatch and therefore, requiring the investment manager to make a distress sale of the securities leading to realignment of the portfolio and consequently resulting in investment in lower yield instruments.

To the extent the underlying Mutual Fund Scheme invests in Debt / Money Market Instruments, the Scheme shall be affected by the aforementioned risk factors. The Net Asset Value (NAV) of the units of the Scheme is likely to get effected on accounts of such risk factors. Any change in the investment policies or fundamental attributes of any underlying scheme is likely to affect the performance of the Scheme. Further, the liquidity of the Scheme's investments may be inherently restricted by the liquidity of the underlying schemes in which it has invested.

(iii) Risk associated with Investing in Structured Obligation (SO) & Credit Enhancement (CE) rated securities –

The risks factors stated below for the Structured Obligations & Credit Enhancement are in addition to the risk factors associated with debt instruments.

-Credit rating agencies assign CE rating to an instrument based on any identifiable credit enhancement for the debt instrument issued by an issuer. The credit enhancement could be in various forms and could include guarantee, shortfall undertaking, letter of comfort, etc. from another entity. This entity could be either related or non-related to the issuer like a bank, financial institution, etc. Credit enhancement could include additional security in form of pledge of shares listed on stock exchanges, etc. SO transactions are asset backed/ mortgage backed securities, securitized paper backed by hypothecation of car loan receivables, securities backed by trade receivables, credit card receivables etc. Hence, for CE rated instruments evaluation of the credit enhancement provider, as well as the issuer is undertaken to determine the issuer rating. In case of SO rated issuer, the underlying loan pools or securitization, etc. is assessed to arrive at rating for the issuer.

Liquidity Risk: SO rated securities are often complex structures, with a variety of credit enhancements. Debt securities lack a well-developed secondary market in India, and due to the credit enhanced nature of CE securities as well as structured nature of SO securities, the liquidity in the market for these instruments is adversely affected compared to similar rated debt instruments. Hence, lower liquidity of such instruments, could lead to inability of the scheme to sell such debt instruments and generate liquidity for the scheme or higher impact cost when such instruments are sold.

Credit Risk: The credit risk of debt instruments which are CE rated derives rating based on the combined strength of the issuer as well as the structure. Hence, any weakness in either the issuer or the structure could have an adverse credit impact on the debt instrument. The weakness in structure could arise due to inability of the investors to enforce the structure due to issues such as legal risk, inability to sell the underlying collateral or enforce guarantee, etc. In case of SO transactions, comingling risk and risk of servicer increases the overall risk for the securitized debt or assets backed transactions. Therefore, apart from issuer level credit risk such debt instruments are also susceptible to structure related credit risk.

(iv) General Risk factors

Trading volumes, settlement periods and transfer procedures may restrict the liquidity of the investments made by the Scheme. Different segments of the Indian financial markets have different settlement periods and such periods may be extended significantly by unforeseen circumstances leading to delays in receipt of proceeds from sale of securities. The NAV of the Units of the Scheme can go up or down because of various factors that affect the capital markets in general.

As the liquidity of the investments made by the Scheme could, at times, be restricted by trading volumes and

settlement periods, the time taken by the Mutual Fund for redemption of Units may be significant in the event of an inordinately large number of redemption requests or restructuring of the Scheme. In view of the above, the Trustee has the right, in its sole discretion, to limit redemptions (including suspending redemptions) under certain circumstances, as described under **"Right to Limit Redemptions"** in Section 'Restrictions, if any, on the right to freely retain or dispose of units being offered'.

At times, due to the forces and factors affecting the capital market, the Scheme may not be able to invest in securities falling within its investment objective resulting in holding the monies collected by it in cash or cash equivalent or invest the same in other permissible securities / investments amounting to substantial reduction in the earning capability of the Scheme.

Performance of the Scheme may be affected by political, social, and economic developments, which may include changes in government policies, diplomatic conditions, and taxation policies.

(v) Risk factors associated with investing in Foreign Securities

Subject to necessary approvals and within the investment objectives / asset allocation pattern of the Scheme may invest in overseas markets which carry risks related to fluctuations in the foreign exchange rates, the nature of the securities market of the country, repatriation of capital due to exchange controls and political circumstances. It is the AMC's belief that investment in foreign securities offers new investment and portfolio diversification opportunities into multimarket and multi-currency products. Such investment opportunities may be pursued by the AMC provided they are considered appropriate in terms of the overall investment objectives of the Scheme. Since the Scheme would invest only partially in foreign securities, there may not be readily available and widely accepted benchmarks to measure performance of the Scheme. However, such investments also entail additional risks not only limited to the following:

Currency Risk:

Moving from Indian Rupee (INR) to any other currency involves currency risk. To the extent that the assets of the Scheme will be invested in securities denominated in foreign currencies, the Indian Rupee equivalent of the net assets and income may be adversely affected by changes in the value of certain foreign currencies relative to the Indian Rupee.

Interest Rate Risk:

The pace and movement of interest rate cycles of various countries, though loosely co-related, can differ significantly. Investments in securities of countries other than India, the Scheme stand exposed to their interest rate cycles.

Credit Risk:

To manage risks associated with foreign currency and interest rate exposure, the Mutual Fund may use derivatives for efficient portfolio management including hedging in accordance with conditions as may be stipulated by SEBI / RBI from time to time.

Repatriation Risk:

The repatriation of capital to India may also be hampered by changes in regulations concerning exchange controls or political circumstances as well as the application to it of other restrictions on investment.

(vi) Risk factors associated with investing in Derivatives.

The AMC, on behalf of the Scheme may use various derivative products, from time to time, in an attempt to protect the value of the portfolio and enhance Unit holders' interest. Derivative products are specialized instruments that require investment techniques and risk analysis different from those associated with stocks and bonds. The use of a derivative requires an understanding not only of the underlying instrument but of the derivative itself. Other risks include, the risk of mis-pricing or improper valuation and the inability of derivatives to correlate perfectly with underlying assets, rates and indices.

Derivative products are leveraged instruments and can provide disproportionate gains as well as disproportionate losses to the investor. Execution of such strategies depends upon the ability of the fund

manager to identify such opportunities. Identification and execution of the strategies to be pursued by the fund manager involve uncertainty and the decision of fund manager may not always be profitable. No assurance can be given that the fund manager will be able to identify or execute such strategies.

The risks associated with the use of derivatives are different from or possibly greater than, the risks associated with investing directly in securities and other traditional investments.

Derivatives require the maintenance of adequate controls to monitor the transactions entered into, the ability to assess the risk that a derivative adds to the portfolio and the ability to forecast price or interest rate movements correctly. There is the possibility that a loss may be sustained by the portfolio as a result of the failure of another party (usually referred to as the “counter party”) to comply with the terms of the derivatives contract. The Scheme bears a risk that it may not be able to correctly forecast future market trends or the value of assets, indices or other financial or economic factors in establishing derivative positions for the Scheme.

Also, the market for derivative instruments is relatively nascent in India and does not have the volumes which may be seen in other developed markets, which may result in volatility to the values. Besides the price of the underlying asset, the volatility, tenor and interest rates affect the pricing of derivatives.

Trading in derivatives carry a high degree of risk although they are traded at a relatively small amount of margin which provides the possibility of great profit or loss in comparison with the principal investment amount. The Scheme may find it difficult or impossible to execute derivative transactions in certain circumstances.

Other risks in using derivatives include but are not limited to:

a. Credit Risk – this occurs when a counterparty defaults on a transaction before settlement and therefore, the Scheme are compelled to negotiate with another counter party, at the then prevailing (possibly unfavorable) market price, in order to maintain the validity of the hedge. For exchange traded derivatives, the risk is mitigated as the exchange provides a guaranteed settlement but one takes the performance risk on the exchange.

b. Market Liquidity risk - this occurs where the derivatives cannot be sold (unwound) at prices that reflect the underlying assets, rates and indices.

c. Model Risk – this is the risk of mis-pricing or improper valuation of derivatives.

d. Basis Risk – This risk arises when the instrument used as a hedge does not match the movement in the instrument/ underlying asset being hedged. The risks may be inter-related also; for e.g. interest rate movements can affect equity prices, which could influence specific issuer/industry assets.

(vii) Risk factors associated with investing in Securitised Debt

The Risks involved in Securitised Papers described below are the principal ones and does not represent that the risks set out hereunder is exhaustive.

Limited Liquidity & Price Risk

There is no assurance that a deep secondary market will develop for the Certificates. This could limit the ability of the investor to resell them.

Limited Recourse, Delinquency and Credit Risk

The Credit Enhancement stipulated represents a limited loss cover to the Investors. These Certificates represent an undivided beneficial interest in the underlying receivables and do not represent an obligation of either the Issuer or the Seller or the originator, or the parent or any affiliate of the Seller, Issuer and Originator. Delinquencies and credit losses may cause depletion of the amount available under the Credit Enhancement and thereby the Investor Payouts to the Certificate Holders may get affected if the amount available in the Credit Enhancement facility is not enough to cover the shortfall. On persistent default of

a Obligor to repay his obligation, the Servicer may repossess and sell the Asset. However, many factors may affect, delay or prevent the repossession of such Asset or the length of time required to realise the sale proceeds on such sales. In addition, the price at which such Asset may be sold may be lower than the amount due from that Obligor.

Risks due to possible prepayments and Charge Offs

In the event of prepayments, investors may be exposed to changes in tenor and yield. Also, any Charge Offs would result in the reduction in the tenor of the Pass Through Certificates (PTCs).

Bankruptcy of the Swap Bank

If the Swap Bank, becomes subject to bankruptcy proceedings then an Investor could experience losses or delays in the payments due under the Interest Rate Swap Agreement.

Risk of Co-mingling

With respect to the Certificates, the Servicer will deposit all payments received from the Obligors into the Collection Account. However, there could be a time gap between collection by a Servicer and depositing the same into the Collection account especially considering that some of the collections may be in the form of cash. In this interim period, collections from the Loan Agreements may not be segregated from other funds of originator. If originator in its capacity as Servicer fails to remit such funds due to Investors, the Investors may be exposed to a potential loss.

Illustrative framework, which will be applied while evaluating investment decision relating to a pool securitisation transaction:

Characteristics/ Type of Pool	Mortgage Loan	Commercial Vehicle and Construction Equipment	Car	2 Wheeler	Micro Finance Pools	Personal Loans	Single Sell Downs	Others
Approximate Average Maturity (In Months)	NA	12-60 Months	12-60 Months	8-4 months	NA	NA	Refer Note A	Refer Note B
Collateral margin (Including cash, guarantees, excess interest spread, Subordinate tranche)	NA	5% - 20%	4-15%	4-15%	NA	NA		
Average Loan to Value Ratio	NA	80-95%	70-90%	70-95%	NA	NA		
Average seasoning of the pool	NA	3-8 months	3-8 months	2-5 Months	NA	NA		
Maximum single exposure range	NA	3-7%	NA (Retail pool)	NA (Retail pool)	NA	NA		
Average single exposure range %	NA	1-5%	0-1%	0-1%	NA	NA		

NA - Not Applicable

Information in the table above is based on current scenario and is subject to change depending upon the change in related factors.

Notes:

- A. In case of securitised debt with underlying being a single loan, the investment limit applicable to the underlying borrower is considered.
- B. Other investment will be decided on a case to case basis. In case of asset backed pools (ABS), evaluation of the pool assets is done considering the following factors: (Refer the table above which illustrates the averages of parameters considered while selecting the pool)
- Size of the loan
 - Average original maturity of the pool
 - Loan to Value Ratio
 - Average seasoning of the pool
 - Default rate distribution
 - Geographical Distribution
 - Credit enhancement facility
 - Liquid facility
 - Structure of the pool

(viii) Risk factors associated with Securities Lending

As with other modes of extensions of credit, there are risks inherent to securities lending, including the risk of failure of the other party, in this case the approved intermediary, to comply with the terms of the agreement entered into between the lender of securities i.e. the Scheme and the approved intermediary. Such failure can result in the possible loss of rights to the collateral put up by the borrower of the securities, the inability of the approved intermediary to return the securities deposited by the lender and the possible loss of any corporate benefits accruing to the lender from the securities deposited with the approved intermediary.

(ix) Risk factors associated with processing of transaction through Stock Exchange Mechanism

The trading mechanism introduced by the stock exchange(s) is configured to accept and process transactions for mutual fund units in both Physical and Demat Form. The allotment and/or redemption of Units through NSE and/or BSE or any other recognised stock exchange(s), on any Business Day will depend upon the modalities of processing viz. collection of application form, order processing/settlement, etc. upon which the Fund has no control. Moreover, transactions conducted through the stock exchange mechanism shall be governed by the operating guidelines and directives issued by respective recognized stock exchange(s).

(x) Risk Factors Associated with Investments in REITs and InvITs:

● **Interest-Rate Risk:** REITs & InvITs carry interest-rate risk. Generally, when interest rates rise, prices of existing securities fall and when interest rates drop, such prices increase. The extent of fall or rise in the prices is a function of the existing coupon, days to maturity and the increase or decrease in the level of interest rates.

● **Market Risk:** REITs and InvITs are volatile and prone to price fluctuations on a daily basis owing to market movements. Investors may note that AMC/Fund Manager's investment decisions may not always be profitable, as actual market movements may be at variance with the anticipated trends. The NAV of the Scheme is vulnerable to movements in the prices of securities invested by the scheme, due to various market related factors like changes in the general market conditions, factors and forces affecting capital market, level of interest rates, trading volumes, settlement periods and transfer procedures.

● **Risk of lower than expected distributions:** The distributions by the REIT or InvIT will be based on the net cash flows available for distribution. The amount of cash available for distribution principally depends upon the amount of cash that the REIT/InvIT receives as dividends or the interest and principal payments from portfolio assets. The cash flows generated by portfolio assets from operations may fluctuate based on, among other things:

- success and economic viability of tenants and off-takers
- economic cycles and risks inherent in the business which may negatively impact valuations, returns and

profitability of portfolio assets

-debt service requirements and other liabilities of the portfolio assets and fluctuations in the working capital needs

-ability of portfolio assets to borrow funds and access capital markets

-amount and timing of capital expenditures on portfolio assets

● **Liquidity Risk:** This refers to the ease with which REIT/InvIT units can be sold. There is no assurance that an active secondary market will develop or be maintained. Hence there would be time when trading in the units could be infrequent. The subsequent valuation of illiquid units may reflect a discount from the market price of comparable securities for which a liquid market exists.

● **Reinvestment Risk:** Investments in REITs & InvITs may carry reinvestment risk as there could be repatriation of funds by the Trusts in form of buyback of units or IDCW pay-outs, etc. Consequently, the proceeds may get invested in assets providing lower returns. The above are some of the common risks associated with investments in REITs & InvITs. There can be no assurance that a Scheme's investment objectives will be achieved, or that there will be no loss of capital. Investment results may vary substantially on a monthly, quarterly or annual basis.

● **Price-Risk:** The valuation of the REIT/InvIT units may fluctuate based on economic conditions, fluctuations in markets (eg. real estate) in which the REIT/InvIT operates. As an indirect shareholder of portfolio assets, unit holders rights are subordinated to the rights of creditors, debt holders and other parties specified under Indian law in the event of insolvency or liquidation of any of the portfolio assets.

The above are some of the common risks associated with investments in REITs & InvITs. There can be no assurance that a Scheme's investment objectives will be achieved, or that there will be no loss of capital. Investment results may vary substantially on a monthly, quarterly or annual basis.

(xi) Risk Factors associated writing covered call options for equity shares:

a) Writing call options are highly specialized activities and entail higher than ordinary investment risks. In such investment strategy, the profits from call option writing is capped at the option premium, however the downside depends upon the increase in value of the underlying equity shares. This downside risk is reduced only to the extent of premium received by writing covered call options.

b) The Scheme may write covered call option only in case it has adequate number of underlying equity shares as per regulatory requirement. This would lead to setting aside a portion of investment in underlying equity shares. If covered call options are sold to the maximum extent allowed by regulatory authority, the scheme may not be able to sell the underlying equity shares immediately if the view changes to sell and exit the stock. The covered call options need to be unwound before the stock positions can be liquidated. This may lead to a loss of opportunity or can cause exit issues if the strike price at which the call option contracts have been written become illiquid. Hence, the scheme may not be able to sell the underlying equity shares, which can lead to temporary illiquidity of the underlying equity shares and result in loss of opportunity.

c) The writing of the covered call option would lead to loss of opportunity due to appreciation in value of the underlying equity shares. Hence, when the appreciation in equity share price is more than the option premium received the scheme would be at a loss.

d) The total gross exposure related to option premium paid and received must not exceed the regulatory limits of the net assets of the scheme. This may restrict the ability of Scheme to buy any options.

e) Increased volatility in the market may result in higher premium and marked to market losses in NAV for all the existing short option position even at the same price of underlying stock.

(xii) Risk factors associated with Segregated Portfolio

Different types of securities in which the scheme would invest carry different levels and types of risk as given in the Scheme Information Document of the scheme. In addition to the same, unitholders are requested to also note the following risks with respect to Segregated Portfolio:

Liquidity Risk: A lower level of liquidity affecting an individual security (ies) or an entire market may have an adverse bearing on the value of the Segregated Scheme's assets. This may more importantly affect the ability to sell particular securities with minimal impact cost as and when necessary to meet requirements of liquidity or to sell securities in response to triggers such as a specific economic/corporate event. Trading volumes, settlement periods and transfer procedures may restrict the liquidity of a few of the investments. This may impact the NAV of the segregated portfolio and could result into potential loss to the Unit holders.

Credit risk: The scheme's risk may increase or decrease depending upon its investment pattern. E.g. corporate bonds carry a higher amount of risk than Government securities. Further, even among corporate bonds, bonds, which are AA rated, are comparatively more risky than bonds, which are AAA rated. Investment in unrated securities may be riskier compared to investment in rated instruments due to non-availability of third party assessment on the repayment capability of the issuer. As the securities are unrated, an independent opinion of the rating agency on the repayment capability of the issuer will not be available. The issuer of a debenture/ bond or a money market instrument may default on interest payment or even in paying back the principal amount on maturity. Even where no default occurs, the price of a security may go down because the credit rating of an issuer goes down. This may impact the NAV of the segregated portfolio and resultant loss to the Unit holders.

Listing of units: Listing of units of segregated portfolio in recognized stock exchange does not necessarily guarantee their liquidity. There may not be active trading of units in the stock market. Further, trading price of units on the stock market may be significantly lower than the prevailing NAV.

(xiii) Risks associated with investments in Repo transactions in Corporate Bonds

In repo transactions, also known as a repo or sale repurchase agreement, securities are sold with the seller agreeing to buy them back at later date. The repurchase price should be greater than the original sale price, the difference effectively representing interest. A repo is economically similar to a secured loan, with the buyer receiving corporate debt securities as collateral to protect against default. The Scheme may invest in repo of corporate debt securities which are subject to the following risks:

Counterparty Risk: This refers to the inability of the seller to meet the obligation to buy back securities at the contracted price on the contracted date. The Investment Manager will endeavour to manage counterparty risk by dealing only with counterparties, having strong credit profiles. Also, the counterparty risk is to an extent mitigated by taking collateral equivalent in value to the transaction after knocking off a minimum haircut on the intrinsic value of the collateral. In the event of default by the repo counterparty, the scheme shall have recourse to corporate debt securities.

Collateral Risk: Collateral risk arises when the market value of the securities is inadequate to meet the repo obligations. This risk is mitigated by restricting participation in repo transactions with collateral bearing a minimum rating as prescribed by the regulators (currently AA or equivalent and above rated money market and corporate debt securities). Any rating downgrade will tantamount to either an early termination of the repo agreement or a call for fresh margin to meet the minimum haircut requirement. In addition, the Investment manager may apply a higher haircut on the underlying security than mentioned above to adjust for the illiquidity and interest rate risk on the underlying instrument. The adequacy of the collateral will be monitored on a daily basis by considering the daily market value & applying the prescribed haircut. In the event of shortfall in the collateral, the counterparty shall be asked to replenish the same. If the counterparty is not able to top-up either in form of cash / collateral, it shall tantamount to early termination of the repo agreement.

Settlement Risk: Corporate Bond Repo shall be settled between two counterparties in the OTC segment unlike in the case of Government securities repo transactions where CCIL stands as central counterparty on all transactions which neutralizes the settlement risk. However, the settlement risk pertaining to CDRs shall be mitigated through Delivery versus Payment (DvP) mechanism which is followed by all clearing members.

(xiv) Risk associated with investment in Government securities and Triparty repo on Government securities or treasury bills:

-The mutual fund is a member of securities segment and Triparty Repo trade settlement of the Clearing Corporation of India (CCIL). All transactions of the mutual fund in government securities and in Tri-party Repo trades are settled centrally through the infrastructure and settlement systems provided by CCIL; thus, reducing the settlement and counterparty risks considerably for transactions in the said segments. The members are required to contribute an amount as communicated by CCIL from time to time to the default

fund maintained by CCIL as a part of the default waterfall (a loss mitigating measure of CCIL in case of default by any member in settling transactions routed through CCIL).

-As per the waterfall mechanism, after the defaulter's margins and the defaulter's contribution to the default fund have been appropriated, CCIL's contribution is used to meet the losses. Post utilization of CCIL's contribution if there is a residual loss, it is appropriated from the default fund contributions of the non-defaulting members. Thus, the scheme is subject to risk of the initial margin and default fund contribution being invoked in the event of failure of any settlement obligations. In addition, the fund contribution is allowed to be used to meet the residual loss in case of default by the other clearing member (the defaulting member).

-CCIL shall maintain two separate Default Funds in respect of its Securities Segment, one with a view to meet losses arising out of any default by its members from outright and repo trades and the other for meeting losses arising out of any default by its members from Triparty Repo trades. The mutual fund is exposed to the extent of its contribution to the default fund of CCIL, in the event that the contribution of the mutual fund is called upon to absorb settlement/default losses of another member by CCIL, as a result the scheme may lose an amount equivalent to its contribution to the default fund.

- Due to technical issues at CCIL there may be change that the CCIL may delay the payment to its members.

C. Risk mitigation strategies

The Fund by utilizing a holistic risk management strategy will endeavor to manage risks associated with investing in debt and equity markets. The risk control process involves identifying & measuring the risk through various risk measurement tools.

The Fund has identified following risks of investing in equity and debt and designed risk management strategies, which are embedded in the investment process to manage such risks.

Risk associated with Debt Investment

Risk Description	Risk Mitigants/management strategy
Market Risk As with all debt securities, changes in interest rates may affect the scheme's Net Asset Value as the prices of securities generally increase as interest rates decline and generally decrease as interest rates rise. Prices of long-term securities generally fluctuate more in response to interest rate changes than do short-term securities. Indian debt markets can be volatile leading to the possibility of price movements up or down in fixed income securities and thereby to possible movements in the NAV.	In a rising interest rates scenario, the Fund Manager will endeavor to increase investment in money market securities whereas if the interest rates are expected to fall, the allocation to debt securities with longer maturity will be increased thereby mitigating risk to that extent.
Liquidity or Marketability Risk This refers to the ease with which a security can be sold at or near to its valuation Yield-To-Maturity (YTM). The primary measure of liquidity risk is the spread between the bid price and the offer price quoted by a dealer. Liquidity risk is today characteristic of the Indian fixed income market.	The scheme may invest in government securities, corporate bonds and money market instruments. While the liquidity risk for government securities, money market instruments and short maturity corporate bonds may be low, it may be high in case of medium to long maturity corporate bonds. Liquidity risk is today characteristic of the Indian fixed income market. The fund will however, endeavor to minimise liquidity risk by investing in securities having a liquid

	market.
Credit Risk Credit risk or default risk refers to the risk that an issuer of a fixed income security may default (i.e., will be unable to make timely principal and interest payments on the security). Because of this risk corporate debentures are sold at a higher yield above those offered on Government Securities which are sovereign obligations and free of credit risk. Normally, the value of a fixed income security will fluctuate depending upon the changes in the perceived level of credit risk as well as any actual event of default. The greater the credit risk, the greater the yield required for someone to be compensated for the increased risk.	A traditional SWOT analysis will be used for identifying company specific risks. Management's past track record will also be studied. In order to assess financial risk, a detailed assessment of the issuer's financial statements will be undertaken to review its ability to undergo stress on cash flows and asset quality. A detailed evaluation of accounting policies, off balance sheet exposures, notes, auditors' comments and disclosure standards will also be made to assess the overall financial risk of the potential borrower. In case of securitized debt instruments, the fund will ensure that these instruments are sufficiently backed by assets.
Reinvestment Risk This risk refers to the interest rate levels at which cash flows received from the securities in the scheme are reinvested. The additional income from reinvestment is the "interest on interest" component. The risk is that the rate at which interim cash flows can be reinvested may be lower than that originally assumed.	Reinvestment risks will be limited to the extent of coupons received on debt instruments, which will be a very small portion of the portfolio value.
Derivatives Risk As and when the scheme trades in the derivatives market, there are risk factors and issues concerning the use of derivatives that Investors should understand. Derivative products are specialized instruments that require investment techniques and risk analyses different from those associated with stocks and bonds. The use of a derivative requires an understanding not only of the underlying instrument but also of the derivative itself. There is the possibility that a loss may be sustained by the portfolio as a result of the failure of another party (usually referred to as the "counter party") to comply with the terms of the derivatives contract. Other risks in using derivatives include the risk of mispricing or improper valuation of derivatives and the inability of derivatives to correlate perfectly with underlying assets, rates and indices.	The fund has provision for using derivative instruments for portfolio balancing and hedging purposes. Interest Rate Swaps will be done with approved counter parties under pre approved ISDA agreements. Mark to Market of swaps, netting off of cash flow and default provision clauses will be provided as per international best practice on a reciprocal basis. Interest rate swaps and other derivative instruments will be used as per local (RBI and SEBI) regulatory guidelines.

Currency Risk The Scheme may invest in Foreign Securities as permitted by the concerned regulatory authorities in India. Since the assets may be invested in securities denominated in foreign currency, the INR equivalent of the net assets, distributions & income may be adversely affected by changes / fluctuations in the value of the foreign currencies relative to the INR.	The scheme subject to applicable regulations shall have the option to enter into forward contracts for the purposes of hedging against the foreign exchange fluctuations. The Schemes may employ various measures (as permitted by SEBI/RBI) including but not restricted to currency hedging (such as currency options and forward currency exchange contracts, currency futures, written call options and purchased put options on currencies and currency swaps), to manage foreign exchange movements arising out of investment in foreign securities.
--	---

Risks associated with Equity investment

Risk Description	Risk Mitigants/management strategy
Market Risk The scheme is vulnerable to movements in the prices of securities invested by the scheme, which could have a material bearing on the overall returns from the scheme. The value of the scheme's investments, may be affected generally by factors affecting securities markets, such as price and volume, volatility in the capital markets, interest rates, currency exchange rates, changes in policies of the Government, taxation laws or any other appropriate authority policies and other political and economic developments which may have an adverse bearing on individual securities, a specific sector or all sectors including equity and debt markets.	Market risk is a risk which is inherent to an equity scheme. The scheme may use derivatives for hedging purpose and diversify the securities investment.
Liquidity risk Liquidity risk is the risk of not being able to sell / liquidate a security at short notice at prevailing market prices or without incurring impact cost. In case of Arbitrage trades, under abnormal circumstances it will be difficult to square off the transaction due to liquidity being poor in the underlying stock, stock futures or options market.	The fund seeks to control such risk by investing in such diversified stocks having strong fundamentals, sound financial strength and superior quality of management and highly liquid securities. The fund will aim at taking exposure only into liquid stocks / derivatives where there will be minimal risk to square off the transaction or we can take or deliver the stock.
Derivatives Risk As and when the scheme trades in the derivatives market there are risk factors and issues concerning the use of derivatives that Investors should understand. Derivative products are	The fund has provision for using derivative instruments for portfolio balancing and hedging purposes. Investments in derivative instruments will be used as per local (RBI and SEBI) regulatory guidelines. The fund will endeavor to maintain adequate controls to

specialized instruments that require investment techniques and risk analyses different from those associated with stocks and bonds. The use of a derivative requires an understanding not only of the underlying instrument but also of the derivative itself. The risks in using derivatives include the risk of mispricing or improper valuation of derivatives and the inability of derivatives to correlate perfectly with underlying assets, rates and indices.	monitor the derivatives transactions entered into.
Currency Risk The Scheme may invest in Foreign Securities as permitted by the concerned regulatory authorities in India. Since the assets may be invested in securities denominated in foreign currency, the INR equivalent of the net assets, distributions and income may be adversely affected by changes / fluctuations in the value of the foreign currencies relative to the INR.	The scheme subject to applicable regulations shall have the option to enter into forward contracts for the purposes of hedging against the foreign exchange fluctuations. The Schemes may employ various measures (as permitted by SEBI/RBI) including but not restricted to currency hedging (such as currency options and forward currency exchange contracts, currency futures, written call options and purchased put options on currencies and currency swaps), to manage foreign exchange movements arising out of investment in foreign securities.

1. Risk profile of securitised debt vis-à-vis risk appetite of the Scheme

The risk profile of securitised debt is generally at par with the risk profile of other debt securities at the same level of credit rating. Securitised debt offers additional income (spread) over a debt security of similar rating and maturity, which enables the scheme to optimize its income without taking any additional credit risk. Securitised debt is generally less liquid, however, investment in securitised debt is made to maintain a diversified portfolio of debt securities that optimizes return without increasing the overall risk profile of the Scheme.

2. Policy relating to originators based on nature of originator, track record, NPAs, losses in earlier securitised debt, etc.

The originator is an entity (like banks, non-banking finance companies, corporates etc), which has initially provided the loan & is also generally responsible for servicing the loans. The schemes will invest in securitised debt of originators with at least investment grade credit rating and established track record. A detailed evaluation of originator is done before the investment is made in securitised debt of any originator on various parameters given below:

Track record

The investment in securitised debt is done based on origination and underwriting process and capabilities of the originator, overview of corporate structure, group to which they belong, experience of the company in the business, how long they have been in the business, financial condition of the company, credit rating, past performance of similar pools by the originator, etc.

Willingness to pay through credit enhancement facilities etc.

Credit enhancement is provided by the originator, as indicated by rating agencies, so as to adequately cover the defaults and acts as a risk mitigation measure. The size of the credit enhancement as indicated by rating agency depends on the originator's track record, past delinquencies, pattern of the portfolio & characteristics of the pool vis-a-vis of the portfolio, nature of the asset class

Business Risk Assessment

The business risk assessment of originator / underlying borrower also includes detailed credit assessment wherein following factors are also considered:

- ★ Outlook for the economy (domestic and global)
- ★ Outlook for the industry
- ★ Company specific factors

Additionally, a detailed review of rating rationale is done along with interactions with the company as well as the rating agency. All investment in securitised debt is done after taking into account points (with regard to originator) stated below:

- ★ Default track record/ frequent alteration of redemption conditions
- ★ High leverage ratios of the ultimate borrower both on a standalone basis as well on a consolidated level/ group level
- ★ Higher proportion of reschedulement of underlying assets of the pool or loan, as the case may be
- ★ Higher proportion of overdue assets of the pool or the underlying loan, as the case may be

Risk mitigation strategies for investments with each kind of originator

Investments are based on assessment of following parameters, to mitigate risk associated with such investment:

- a. Credit quality, size and reach of the originator
- b. Nature of receivables/asset category i.e. cars, commercial vehicles, personal loans etc.
- c. Collection process, infrastructure and follow-up mechanism
- d. Credit cum liquidity enhancement
- e. Asset Quality - portfolio delinquency levels
- f. Past performance of rated pools
- g. Pool Characteristics - seasoning, Loan-to-value ratios, geographic diversity etc.

3. Minimum retention percentage of the debts by originator of debts prior to securitisation.

While minimum retention percentage by originator is not prescribed, any amount retained by the originator through subordination is viewed positively at the time of making investment.

4. The mechanism to tackle conflict of interest when the mutual fund invests in securitised debt of an originator and the originator in turn makes investments in that particular scheme of the fund.

All proposals for investment in securitised debt are evaluated by the analyst based on several parameters such as nature of underlying asset category, pool characteristics, asset quality, credit rating of the securitisation transaction, and credit cum liquidity enhancement available. Investment in securitised debt by the scheme is made by the fund manager in line with the investment objective of the scheme.

II. Information about the scheme:

A. Where will the scheme invest

The corpus of the Scheme shall be invested in any (but not exclusively) of the following securities (as allowed by applicable regulations):

- 1) Equity and equity related instruments;
- 2) Debt securities;
- 3) Money Market Instruments;
- 4) Investment in Securitised Debt;
- 5) Investment in Mutual Fund Schemes;
- 6) Applicable Derivatives

- 7) Foreign Securities (only equity and equity related instruments)
- 8) Debt Securities (including Units) issued by REITs & InvITs
- 9) Writing of covered call options
- 10) Non-convertible Preference Shares (to be considered as Debt Instruments)

Pending deployment as per investment objective, the moneys under the Scheme may be parked in short- term deposits of Scheduled Commercial Banks.

The Scheme shall comply with the following guidelines for parking of funds in short term deposits:

1. "Short Term" for parking of funds shall be treated as a period not exceeding 91 days.
2. Such short-term deposits shall be held in the name of the Scheme.
3. The Scheme shall not park more than 15% of the net assets in short term deposit(s) of all the scheduled commercial banks put together. However, such limit may be raised to 20% with prior approval of the Trustee.
4. Parking of funds in short term deposits of associate and sponsor scheduled commercial banks together shall not exceed 20% of total deployment by the Mutual Fund in short term deposits.
5. The Scheme shall not park more than 10% of the net assets in short term deposit(s), with any one scheduled commercial bank including its subsidiaries.
6. The Scheme shall not park funds in short-term deposit of a bank, which has invested in the Scheme.

The aforesaid limits shall not be applicable to term deposits placed as margins for trading in cash and derivatives market.

As per the SEBI (MF) Regulations, no investment management fees will be charged for such investments.

Investment in Foreign Securities:

The Scheme may also invest in suitable investment avenues in overseas financial markets for the purpose of diversification, commensurate with the Scheme objectives and subject to necessary stipulations by SEBI / RBI. Towards this end, the Mutual Fund may also appoint overseas investment advisors and other service providers, as and when permissible under the regulations. The Scheme may, with the approval of SEBI / RBI invest in:

- i. ADRs/ GDRs issued by Indian or foreign companies
- ii. Equity of overseas companies listed on recognized stock exchanges overseas
- iii. Initial and follow-on public offerings for listing at recognized stock exchanges overseas
- iv. Derivatives traded on recognized stock exchanges overseas only for hedging and portfolio balancing with underlying as securities.
- v. Units/securities issued by overseas mutual funds or unit trusts registered with overseas regulators and investing in (a) aforesaid securities, (b) Real Estate Investment Trusts (REITs) listed in recognized stock exchanges overseas or (c) unlisted overseas securities (not exceeding 10% of their net assets).

PPFAS Mutual Fund will ensure compliance with SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024.

Mutual funds can make overseas investments [as stated in point (i) to (v) above] subject to a maximum of US \$1 billion (limit per mutual fund) subject to overall limit of US \$ 7 billion industry wide or such limits as may be prescribed by SEBI from time to time.

In case of overseas investments specified above, US \$ 300 million maximum would be reserved for each Mutual Fund individually for investment in overseas Exchange Traded Fund, within the overall industry limit of US \$ 1 billion.

For all ongoing schemes that invest or are allowed to invest in Overseas securities / Overseas ETFs, an investment headroom of 20% of the average AUM in Overseas securities / Overseas ETFs of the previous three calendar months would be available to the Mutual Fund for that month to invest in Overseas securities / Overseas ETFs subject to maximum limits specified above as the case maybe.

Subject to the approval of the RBI / SEBI and conditions as may be prescribed by them, the Mutual Fund may open one or more foreign currency accounts abroad either directly, or through the custodian/sub-custodian, to facilitate investments and to enter into/deal in forward currency contracts, currency futures, index options, index futures, interest rate futures/swaps, currency options for the purpose of hedging the risks of assets of a portfolio or for its efficient management.

The Mutual Fund may, where necessary appoint intermediaries as sub-managers, sub-custodians, etc. for managing and administering such investments. The appointment of such intermediaries shall be in accordance with the applicable requirements of SEBI and within the permissible ceilings of expenses.

Under normal circumstances, exposure to foreign securities subject to regulatory limits shall not be more than 35% of the Scheme's net assets.

Covered Call Options

A call option gives the holder (buyer) the right but not the obligation to buy an asset by a certain date for a certain price. Covered calls are an options strategy where a person holds a long position in an asset and writes (sells) call options on that same asset.

Benefits of using Covered Call strategy in Mutual Funds:

The covered call strategy can be followed by the Fund Manager in order to hedge risk thereby resulting in better risk adjusted returns of the Scheme. The strategy offers the following benefits:

- a) Down side protection to the extent of premium collected - Since the fund manager sells a call option on a stock already owned by the mutual fund scheme, the downside from fall in the stock price would be lower to the extent of the premium earned from the call option.
- b) Generating additional returns in the form of option premium in a range bound market.

Thus, a covered call strategy involves gains for unit holders in case the strategy plays out in the right direction.

Illustration — Covered Call strategy using stock call options:

A fund manager buys equity stock of ABC Ltd. for Rs. 1000 and simultaneously sells a call option on the same stock at a strike price of Rs. 1100. Further, it is assumed that the scheme has earned a premium of Rs. 50 and the fund manager is of the opinion that the stock price will not exceed Rs. 1100, during the expiry period of the option.

Scenario 1: Stock price exceeds Rs. 1100

The call option will get exercised and the fund manager will sell the stock to settle his obligation on the call at Rs. 1100 (earning a return of 10% on the stock purchase price). Also, since the scheme has earned a premium of Rs. 50, this has reduced the purchase cost of the stock (Rs. 1000 — Rs. 50 = Rs. 950).

Hence, the Net Gain = Rs. 150 (Rs 100 stock appreciation + Rs 50 call option premium)

(However, please note that in a scenario where the stock price reaches Rs. 1300, investment in long only equity would be more beneficial than a covered call strategy as the net gain under the covered call strategy would be Rs. 150, against a net gain of Rs. 300 under a pure long only equity strategy.)

Scenario 2: Stock prices stays below Rs. 1100

The call option will not get exercised and will expire worthless. The premium earned on call option will generate alpha for the scheme.

Hence, the Net Gain = Rs. 50.

Trading in Derivatives

The Scheme may take derivative positions based on the opportunities available subject to the guidelines provided by SEBI from time to time and in line with the overall investment objective of the Scheme. The Fund has to comply with the prescribed disclosure requirements. These may be taken to hedge the portfolio, rebalance the same or to undertake any other strategy as permitted under SEBI (MF) Regulations from time to time. Hedging does not mean maximisation of returns but only reduction of systematic or market risk inherent in the investment. The Scheme intends to take position in derivative instruments like Futures, Options, Interest Rate Swaps, Forward Rate Agreements, and such other derivative instruments as may be permitted by SEBI and RBI from time to time.

Pursuant to SEBI Circular No. DNPd/Cir-29/2005 dated September 14, 2005, the Scheme shall be treated as Trading Members at par with a registered FII (also known as Foreign Institutional Investor or Foreign Portfolio Investor) in respect of position limits in index futures, index options, stock options and stock futures contracts.

Net position in derivatives will be as per fund management process and decision of the fund manager in the best interest of the unit-holders of the scheme. While taking any derivative positions, the scheme will comply with applicable SEBI and RBI guidelines as amended from time to time.

Difference between exchange traded derivatives and Over the Counter Trade (OTC):

Derivatives can be traded over the exchange or can be structured between two counter-parties. Those transacted over the exchange are called Exchange Traded derivatives whereas the other category is referred to as OTC (Over the Counter) derivatives. Some of the differences of these two derivative categories are stated below:

Exchange Traded Derivatives:

These are quoted on the exchanges like any other traded asset class. The common amongst these are the Index Futures, Index Options, Stock Futures and Options on individual equities / securities. The basic form of the futures contract is similar to that of the forward contract, a futures contract obligates its owner to purchase a specified asset at a specified exercise price on the contract maturity date. Futures are cash-settled and are traded only in organised exchanges. Exchange traded derivatives are standardised in terms of amount and delivery date.

Standardisation and transparency generally ensures a liquid market together with narrower spreads. For delivery dates far in the future, there may be insufficient liquidity in the futures market.

OTC derivatives:

OTC derivatives require the two parties engaging in a derivatives transaction to come together through a process of negotiations. It is a derivative that is customised in terms of structure, amount, tenor, underlying assets, collateral etc. Some examples of OTC derivatives are interest rate and currency swaps, Forward Rate Agreements (FRAs) etc.

Position Limits:

The position limits for trading in derivatives by Mutual Funds specified by SEBI vide SEBI Circular No. DNPd/Cir-29/2005 dated September 14, 2005, SEBI Circular No. DNPd/Cir -30/2006 dated January 20, 2006 and SEBI Circular No. SEBI/DNPd/Cir-31/2006 dated September 22, 2006 are as follows:

Mutual Fund will comply with applicable position limits.

i. Position limit for Mutual Funds in index options contracts

- a. The Mutual Fund position limit in all index options contracts on a particular underlying index shall be Rs. 500 crore or 15% of the total open interest of the market in index options, whichever is higher, per Stock Exchange.
- b. This limit would be applicable on open positions in all options contracts on a particular underlying index.

ii. Position limit for Mutual Funds in index futures contracts

- a. The Mutual Fund position limit in all index futures contracts on a particular underlying index shall be Rs. 500 crore or 15% of the total open interest of the market in index futures, whichever is higher, per Stock Exchange.
- b. This limit would be applicable on open positions in all futures contracts on a particular underlying index.

iii. Additional position limit for hedging in addition to the position limits at point (i) and (ii) above,
Mutual Funds may take exposure in equity index derivatives subject to the following limits :

1. Short positions in index derivatives (short futures, short calls and long puts) shall not exceed (in notional value) the Mutual Fund's holding of stocks.

2. Long positions in index derivatives (long futures, long calls and short puts) shall not exceed (in notional value) the Mutual Fund's holding of cash, government securities, T-Bills, money market mutual funds and gilt funds and similar instruments.

iv. Position limit for Mutual Funds for stock based derivative contracts

As per SEBI circular no: SEBI/HO/MRD/DP/CIR/P/2016/143 December 27, 2016, The combined futures and options position limit shall be 20% of the applicable Market Wide Position Limit (MWPL)

v. Position limit for each scheme of a Mutual Fund The scheme-wise position limit requirements shall be :

1. For stock option and stock futures contracts, the gross open position across all derivative contracts on a particular underlying stock of a scheme of a mutual fund shall not exceed the higher of:
1% of the free float market capitalization (in terms of number of shares). **or** 5% of the open interest in the derivative contracts on a particular underlying stock (in terms of number of contracts).

2. This position limits shall be applicable on the combined position in all derivative contracts on an underlying stock at a Stock Exchange.

3. For index based contracts, Mutual Funds shall disclose the total open interest held by its scheme or all schemes put together in a particular underlying index, if such open interest equals to or exceeds 15% of the open interest of all derivative contracts on that underlying index.

Exposure Limits

The exposure limits for trading in derivatives by Mutual Funds specified by SEBI vide its Master Circular no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 are as follows:

1. As per SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the cumulative gross exposure through equity, debt, derivative positions (including commodity and fixed income derivatives), repo transactions and credit default swap in corporate debt securities, Real Estate Investment Trusts (REITs), Infrastructure Investment Trusts (InvITs), other permitted securities/assets and such other securities/ assets as may be permitted by SEBI from time to time shall not exceed 100% of the net assets of the Scheme.

2. Mutual Funds shall not write options or purchase instruments with embedded written options.

3. The total exposure related to option premium paid must not exceed 20% of the net assets of the scheme.

4. Cash or cash equivalents with residual maturity of less than 91 days may be treated as not creating any exposure.

5. Exposure due to hedging positions may not be included in the above mentioned limits subject to the following:

a. Hedging positions are the derivative positions that reduce possible losses on an existing position in securities and till the existing position remains.

b. Hedging positions cannot be taken for existing derivative positions. Exposure due to such positions shall have to be added and treated under limits mentioned in Point 1.

c. Any derivative instrument used to hedge has the same underlying security as the existing position being hedged.

d. The quantity of underlying associated with the derivative position taken for hedging purposes does not exceed the quantity of the existing position against which hedge has been taken.

6. (a) Mutual Funds may enter into plain vanilla Interest Rate Swaps (IRS) for hedging purposes. The value

of the notional principal in such cases must not exceed the value of respective existing assets being hedged by the scheme.

(b) In case of participation in IRS is through over the counter transactions, the counter party has to be an entity recognized as a market maker by RBI and exposure to a single counterparty in such transactions should not exceed 10% of the net assets of the scheme. However, if mutual funds are transacting in IRS through an electronic trading platform offered by the Clearing Corporation of India Ltd. (CCIL) and CCIL is the central counterparty for such transactions guaranteeing settlement, the single counterparty limit of 10% shall not be applicable.

7. Exposure due to derivative positions taken for hedging purposes in excess of the underlying position against which the hedging position has been taken, shall be treated under the limits mentioned in point 1.

8. Definition of Exposure in case of Derivative Positions. Each position taken in derivatives shall have an associated exposure as defined under. Exposure is the maximum possible loss that may occur on a position. However, certain derivative positions may theoretically have unlimited possible loss. Exposure in derivative positions shall be computed as follows:

Position	Exposure
Long Future	Futures Price * Lot Size * Number of Contracts
Short Future	Futures Price * Lot Size * Number of Contracts
Option Bought	Option Premium Paid * Lot Size * Number of Contracts

RBI has issued guidelines on Interest Rate Swaps (IRS) and Forward Rate Agreements (FRA) on July 7, 1999. These products were introduced to deepen the country's money market. SEBI has also permitted trading of interest rate derivatives through Stock Exchanges. The Scheme may trade in these instruments.

Interest Rate Swaps (IRS)

All swaps are financial contracts, which involve exchange (swap) of a set of payments owned by one party for another set of payments owned by another party, usually through an intermediary. An IRS can be defined as a contract between two parties (Counter Parties) to exchange, on particular dates in the future, one series of cash flows, (fixed interest) for another series of cash-flows (variable or floating interest) in the same currency and on the same principal for an agreed period of time. The exchange of cash-flows need not occur on the same date.

Forward Rate Agreements (FRA)

A FRA is an agreement between two counterparties to pay or to receive the difference between an agreed fixed rate (the FRA rate) and the interest rate prevailing on a stipulated future date, based on a notional amount, for an agreed period. In short, in a FRA, interest rate is fixed now for a future period. The special feature of FRAs is that the only payment is the difference between the FRA rate and the Reference rate and hence are single settlement contracts. As in the case of the IRS, notional amounts are not exchanged in FRA.

Lending of Securities

The Scheme may lend Securities from its portfolio in accordance with the SEBI Regulations and the applicable SEBI guidelines. Securities lending shall enable the Scheme to earn income that may partially offset its expenses and thereby reduce the effect these expenses have on the Scheme's ability to provide investment returns that correspond generally to the price and yield performance of its underlying index. Securities lending means the lending of Securities to another person or entity for a fixed period of time at a negotiated compensation in order to enhance returns of the portfolio. The Securities lent would have to be returned by the borrower on the expiry of the stipulated period. The AMC will adhere to strict limits should it engage in Securities lending. The Scheme will pay reasonable administrative and custodial fees in connection with the lending of Securities. The Scheme will be exposed to the risk of loss should a borrower

default on its obligation to return the borrowed Securities. The Scheme's share of income from the lending collateral will be included in the Scheme's gross income. Lending of securities will be effected through approved intermediaries. The Mutual Fund will comply with the conditions for Securities lending specified by SEBI (MF) Regulations and circulars.

The maximum exposure of the Scheme to a single intermediary in the stock lending at any point of time would be limited to 5% of the market value of its equity portfolio i.e the limit of 5% will be at broker level or upto such limits as may be specified by SEBI.

The Scheme will not engage in stock lending and borrowing for more than 20% of net assets of the scheme.

The Scheme will not lend more than what is permitted under applicable SEBI (Mutual Funds) Regulations.

B. What are the investment restrictions?

Pursuant to SEBI (Mutual Funds) Regulations, the following investment restrictions are applicable to the Scheme:

Every mutual fund shall buy and sell securities on the basis of deliveries and shall in all cases of purchases, take delivery of relevant securities and in all cases of sale, deliver the securities:

Provided that a mutual fund may engage in short selling of securities in accordance with the framework relating to short selling and securities lending and borrowing specified by SEBI.

Provided further that a mutual fund may enter into derivatives transactions in a recognized stock exchange, subject to the framework specified by SEBI.

Provided further that sale of government security already contracted for purchase shall be permitted in accordance with the guidelines issued by the Reserve Bank of India in this regard.

The Mutual Fund shall enter into transactions relating to Government Securities only in dematerialised form. The Mutual Fund will, for securities purchased in the non-depository mode, get the securities transferred in the name of the Mutual Fund on account of the Scheme, wherever the investments are intended to be of a long term nature.

The Scheme shall not invest more than 10% of its NAV in debt instruments, issued by a single issuer, comprising money market securities and non-money market securities rated investment grade or above by a credit rating agency authorised to carry out such activity under the Act. This overall investment limit may be extended to 12% of the NAV of the scheme with the prior approval of the Board of Trustees and the Board of AMC.

Provided that such limit shall not be applicable for investments in government securities, treasury bills and Triparty Repo.

Provided further that investment within such limit can be made in mortgaged backed securitised debt which are rated not below investment grade by a credit rating agency registered with SEBI.

Provided further that single issuer investment in debt and money market instruments shall be made based on credit risk of the issuer within the limits specified in the clause 1 of Seventh Schedule of the MF Regulation, following prudential limits shall be followed, for schemes other than Credit risk funds:

- i. A mutual fund scheme shall not invest more than:
 - a. 10% of its NAV in debt and money market securities rated AAA; or
 - b. 8% of its NAV in debt and money market securities rated AA; or
 - c. 6% of its NAV in debt and money market securities rated A and below issued by a single issuer.

The above investment limits may be extended by up to 2% of the NAV of the scheme with prior approval of the Board of Trustees and Board of Directors of the AMC, subject to compliance with the overall 12% limit.

The long term rating of issuers shall be considered for the money market instruments. However, if there is no long term rating available for the same issuer, then based on credit rating mapping of CRAs between short term and long term ratings, the most conservative long term rating shall be taken for a given short term rating. Exposure to government money market instruments such as TREPS on G-Sec/ T-bills shall be treated as exposure to government securities.

The Scheme shall not invest in unlisted debt instruments including commercial papers, except Government Securities and other money market instruments.

Provided that Mutual Fund Schemes may invest in unlisted non-convertible debentures up to a maximum of 10% of the debt portfolio of the scheme subject to such conditions as may be specified by the Board from time to time and subject to the condition that such unlisted NCDs have a simple structure (i.e. with fixed and uniform coupon, fixed maturity period, without any options, fully paid up upfront, without any credit enhancements or structured obligations) and are rated and secured with coupon payment frequency on monthly basis.

Provided further that the scheme shall comply with the norms under this clause within the time and in the manner as may be specified by SEBI.

Provided further that the norms for investments by the scheme in unrated debt instruments shall be specified by SEBI from time to time.

The Mutual Fund under all its Scheme will not own more than 10% of any Company's paid up capital carrying voting rights or ten per cent of units of REITs issued by a single issuer, as the case may be.

Transfer of investments from one scheme to another scheme in the same Mutual Fund, shall be allowed only if:-

(a) such transfers are made at the prevailing market price for quoted Securities on spot basis

Explanation: spot basis shall have the same meaning as specified by stock Exchange for spot transactions

(b) the securities so transferred shall be in conformity with the investment objective of the scheme to which such transfer has been made.

(c) Inter Scheme Transfers are to be effected in accordance with the guidelines specified by SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 as amended from time to time.

The Scheme may invest in another Scheme under the same AMC or any other mutual fund without charging any fees, provided that aggregate inter-scheme investment made by all schemes under the same AMC or in schemes under the management of any other asset management shall not exceed 5% of the net asset value of the Mutual Fund.

Pending deployment of funds as per investment objective, the monies under the Scheme may be parked in short term deposits of Scheduled Commercial Banks. The Scheme shall abide by the guidelines for parking of funds in short term deposits as mentioned in section **'WHERE WILL THE SCHEME INVEST?'** for detailed information.

The Scheme shall not make any investments in:

(a) any unlisted security of an associate or group company of the Sponsors; or

(b) any security issued by way of private placement by an associate or group company of the Sponsors; or

(c) the listed securities of group companies of the Sponsors which is in excess of 25% of the net assets.

(d) any fund of funds scheme

The Scheme shall not invest more than 10% of its NAV in the equity shares or equity related instruments of any entity.

All investments by a mutual fund scheme in equity shares and equity related instruments shall only be made provided such securities are listed or to be listed.

The Scheme may invest in the units of InvITs subject to the following:

- a. No mutual fund under all its schemes shall own more than 10% of units issued by a single issuer of InvIT; and
- b. A mutual fund scheme shall not invest –
 - i. more than 10% of its NAV in the units of InvIT; and
 - ii. more than 5% of its NAV in the units of InvIT issued by a single issuer

Provided that the limits mentioned in (i) and (ii) above shall not be applicable for investments in case of index fund or sector or industry specific scheme pertaining to InvIT.

The Fund shall not borrow except to meet temporary liquidity needs of the Fund for the purpose of repurchase/redemption of Units or payment of interest and/or IDCW to the Unit holders.

Provided that the Fund shall not borrow more than 20% of the net assets of the individual Scheme and the duration of the borrowing shall not exceed a period of 6 months.

Save as otherwise expressly provided under SEBI Regulations, the mutual fund shall not advance any loans for any purpose.

The Scheme shall invest in Debt instruments having Structured Obligations/ Credit Enhancements in accordance with provisions of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 as may be amended by SEBI from time to time. The same are currently as under:

The investment of the Scheme in the following instruments shall not exceed 10% of the debt portfolio of the Scheme and the group exposure in such instruments shall not exceed 5% of the debt portfolio of the Scheme:

- a. Unsupported rating of debt instruments (i.e. without factoring-in credit enhancements) is below investment grade; and
- b. Supported rating of debt instruments (i.e. after factoring-in credit enhancement) is above investment grade.

For this purpose, a group means a group as defined under regulation 2 (mm) of the Regulations and shall include an entity, its subsidiaries, fellow subsidiaries, its holding company and its associates.

However, the above Investment limits shall not be applicable on investments in securitized debt instruments, as defined in SEBI (Public Offer and Listing of Securitised Debt Instruments) Regulations 2008.

Investment in debt instruments, having credit enhancements backed by equity shares directly or indirectly, shall have a minimum cover of 4 times considering the market value of such shares. The provisions shall be effective for all fresh investments with effect from January 1, 2020.

Further in line of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, investment in unrated debt and money market instruments, other than government securities, treasury bills, derivative products such as Interest Rate Swaps (IRS), Interest Rate Futures (IRF), etc. by mutual fund schemes shall be subject to the following:

- a. Investments should only be made in such instruments, including bills re-discounting, usance bills, etc., that are generally not rated and for which separate investment norms or limits are not provided in SEBI (Mutual Fund) Regulations, 1996 and various circulars issued thereunder.
- b. Exposure of mutual fund schemes in such instruments, shall not exceed 5% of the net assets of the schemes.

c. All such investments shall be made with the prior approval of the Board of AMC and the Board of trustees.

Participation of mutual funds in repo in corporate debt securities

The Mutual Funds can participate in repos on following corporate debt securities:

- 1) Listed AA and above rated corporate debt securities
- 2) Commercial Papers (CPs) and Certificate of Deposits (CDs)

The gross exposure of any mutual fund scheme to repo transactions in corporate debt securities shall not be more than 10 % of the net assets of the concerned scheme.

The cumulative gross exposure through repo transactions in corporate debt securities along with equity, debt and derivatives shall not exceed 100% of the net assets of the concerned scheme.

In terms of Regulation 44 (2) of the Securities and Exchange Board of India (Mutual Funds) Regulations, 1996, mutual funds shall borrow through repo transactions only if the tenor of the transaction does not exceed a period of six months.

For the purpose of consideration of credit rating of exposure on repo transactions for various purposes including for Potential Risk Class (PRC) matrix, liquidity ratios, Risk-o-meter etc., the same shall be as that of the underlying securities, i.e., on a look through basis.

For transactions where settlement is guaranteed by a Clearing Corporation, the exposure shall not be considered for the purpose of determination of investment limits for single issuer, group issuer and sector level limits.

Covered Call Strategy

The Scheme can write Call options under a covered strategy for constituent stocks of NIFTY 50 and BSE SENSEX subject to the following condition:

- a) The total notional value (taking into account strike price as well as premium value) of call options written by a scheme shall not exceed 15% of the total market value of equity shares held in that scheme.
- b) The total number of shares underlying the call options written shall not exceed 30% of the unencumbered shares of a particular company held in the scheme. The unencumbered shares in a scheme shall mean shares that are not part of Securities Lending and Borrowing Mechanism (SLBM), margin or any other kind of encumbrances.
- c) At all points of time the scheme shall comply with the provisions at points (a) and (b) above. In case of any passive breach of the requirement at paragraph (a) above, the respective scheme shall have 7 trading days to rebalance the portfolio. During the rebalancing period, no additional call options can be written in the said scheme.
- d) In case the scheme needs to sell securities on which a call option is written under a covered call strategy, it must ensure compliance with paragraphs (a) and (b) above while selling the securities.
- e) In no case, the scheme shall write a call option without holding the underlying equity shares. A call option can be written only on shares which are not hedged using other derivative contracts.
- f) The premium received shall be within the requirements prescribed in terms of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 i.e. the total gross exposure related to option premium paid and received must not exceed 20% of the net assets of the scheme.
- g) The exposure on account of the call option written under the covered call strategy shall not be considered as exposure in terms of paragraph 3 of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024.
- h) The call option written shall be marked to market daily and the respective gains or losses factored into the daily NAV of the respective scheme(s) until the position is closed or expired.

The AMC / Trustee may alter these above stated restrictions from time to time to the extent the SEBI (Mutual Funds) Regulations change, so as to permit the Scheme to make its investments in the full spectrum of permitted investments for mutual funds to achieve its respective investment objective. The AMC/Trustee may

from time to time alter these restrictions in conformity with the SEBI (Mutual Funds) Regulations. Further, apart from the investment restrictions prescribed under SEBI (Mutual Funds) Regulations, the Fund may follow any internal norms vis-à-vis limiting exposure to a particular scrip or sector, etc.

All investment restrictions shall be applicable at the time of making investment.

C. Fundamental Attributes

Following are the Fundamental Attributes of the Scheme, in terms of Regulation 18(15A) of the SEBI (MF) Regulations:

(i) Type of a scheme

Please refer to Section 'Type of the Scheme' :

(ii) Investment Objective

Main Objective - 'What is the Investment Objective of the Scheme?'

Investment pattern - Please refer to section 'How will the Scheme Allocate its Assets?'

(iii) Terms of Issue

- a) Liquidity provisions such as listing, repurchase, redemption.
- b) Aggregate Fees and Expenses charged to the Scheme Please refer to section 'Fees and Expenses' for details.
- c) Any safety net or guarantee provided: **The Scheme does not provide any guaranteed or assured return.**

Changes in Fundamental Attributes

In accordance with Regulation 18 (15A) of the SEBI (Mutual Funds) Regulations, the Trustee shall ensure that no change in the fundamental attributes of the Scheme and the Option thereunder or the trust or fee and expenses payable or any other change which would modify the Scheme and the Option thereunder and affect the interest of Unit holders is carried out unless:

- A prior approval is taken from Securities and Exchange Board of India before bringing such change(s)
- A written communication about the proposed change is sent to each Unit holder and an advertisement is given in one English daily newspaper having nationwide circulation as well as in a newspaper published in the language of the region where the Head Office of the Mutual Fund is situated; and
- The consent or approval of unitholders can also be done through Postal Ballot mechanism i.e. voting by post or through any electronic mode.
- The Unit holders are given an option for a period of 30 days to exit at the prevailing Net Asset Value without any Exit Load.

D. Other Scheme Specific Disclosures:

Listing and transfer of units	Being an open ended Scheme under which units of the Scheme will be offered for subscription and redemption at NAV based prices on all Business Days on an ongoing basis providing the required liquidity to investors, units of the Scheme are not proposed to be listed on any stock exchange. However, the Trustee reserves the right to list the units of the Scheme on any stock exchange(s) at its sole discretion at a later date. Units held by way of an Account Statement can be transferred. For units held in non - demat form, AMC has a system in place for Transfer of Units held in Non-Demat (SoA) mode as laid down by AMFI vide its AMFI Best Practices Guidelines
-------------------------------	---

	Circular No.116 /2024-25 dated August 14, 2024. Currently, the facility is available to individual unitholders falling under the following three categories – (i) Surviving joint unitholder, who wants to add new joint holder(s) in the folio upon demise of one or more joint unitholder(s). (ii) A nominee of a deceased unitholder, who wants to transfer the units to the legal heirs of the deceased unitholder, post the transmission of units in the name of the nominee. (iii) A minor unitholder who has turned a major and has changed his/her status from minor to major, wants to add the name of the parent /guardian, sibling, spouse etc. in the folio as joint holder(s). If a person becomes a holder of the Units consequent to operation of law, or upon enforcement of a pledge, the Fund will, subject to production of satisfactory evidence, effect the transfer, if the transferee is otherwise eligible to hold the Units. Similarly, in cases of transfers taking place consequent to death, insolvency etc., the transferee's name will be recorded by the Fund subject to production of satisfactory evidence. Units held in Demat form are transferable in accordance with the provisions of SEBI (Depositories and Participants) Regulations, as may be amended from time to time. Transfer can be made only in favor of transferees who are eligible of holding units and having a Demat Account. The delivery instructions for transfer of units will have to be lodged with the DP in requisite form as may be required from time to time and transfer will be effected in accordance with such rules / regulations as may be in force governing transfer of securities in dematerialized mode. Pursuant to AMFI Best Practice Guidelines Circular No.135/BP/119/2024-25 dated May 08, 2025, the above procedure has been extended to all investors under Resident/ Non-Resident Individual categories for the reasons like (i) Transfer to siblings(ii)Gifting of Units (iii) Transfer of units to third party (iv) Addition/deletion of unitholder. This facility shall be available only through online mode via the transaction portals of our Registrar and Transfer Agent (i.e. CAMS) and the MF Central (as and when enabled), i.e., the transfer of units held in SoA mode shall not be allowed through physical/ paper-based mode or via the stock exchange platforms, MFU, channel partners and EOPs etc. The Stamp duty for transfer of units, if/where applicable, shall be payable by the transferor. Unitholders can refer https://digital.camsonline.com/transfer for more details and can follow the process available on website of our CAMS if intends to transfer of their units in aforesaid scenarios.
Dematerialization of units	The Unit holders would have an option to hold the Units in electronic (dematerialized) form or account statement/ physical (non-demat) form. Units held in Demat Form are freely transferable. The Applicant intending to hold Units in dematerialized form will be required to have a beneficiary account with a Depository Participant (DP) of the NSDL/CDSL and will be required to mention in the application form DP's Name, DP ID No. and Beneficiary Account No. with the DP at the time of purchasing Units. Unit-holders are requested to note that requests for conversion of units held in Account Statement (non-demat) form into Demat (electronic) form should be submitted to their Depository Participants.
Income Distribution cum capital withdrawal (IDCW) Policy	Under the IDCW option, the Trustee will have discretion to declare the IDCW, subject to availability of distributable surplus calculated in accordance with the Regulations. The actual declaration of IDCW and frequency will inter-alia, depend on availability of distributable surplus calculated in accordance with SEBI (MF) Regulations and the decisions of the Trustee shall be final in this regard. There is no assurance or guarantee to the Unitholder as to the rate of IDCW nor that IDCW will be paid regularly. On payment of IDCW, the NAV will stand reduced by the amount of IDCW and IDCW tax (if applicable) paid.

	The AMC/Trustee reserves the right to change the frequency of declaration of IDCW or may provide additional frequency for Declaration of IDCW. The AMC, in consultation with the Trustee reserves the right to discontinue/ add more options / facilities at a later date subject to complying with the prevailing SEBI guidelines and Regulation IDCW Distribution Procedure: In accordance with SEBI Master circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, the procedure for IDCW distribution would be as under: 1. Quantum of IDCW and the record date will be fixed by the Trustee. IDCW so decided shall be paid, subject to availability of distributable surplus. 2. Within one calendar day of decision by the Trustees, the AMC shall issue notice to the public communicating the decision including the record date. The record date shall be 2 working days from the date of publication in atleast one English newspaper or in a newspaper published in the language of the region where the Head Office of the Mutual Fund is situated, whichever is issued earlier. 3. Record date shall be the date, which will be considered for the purpose of determining the eligibility of Unitholders whose names appear on the register of Unitholder for receiving Dividends. The Record Date will be 2 working days from the date of issue of public notice. 4. The notice will, in font size 10, bold, categorically state that pursuant to payment of IDCW, the NAV of the Scheme would fall to the extent of payout and statutory levy (if applicable). 5. The NAV will be adjusted to the extent of IDCW distribution and statutory levy, if any, at the close of Business Hours on record date. 6. Before the issue of such notice, no communication indicating the probable date of Dividend declaration in any manner whatsoever will be issued by Mutual Fund. The requirement of giving notice shall not be applicable for IDCW Options having frequency upto one month.
Allotment (Detailed procedure)	Investors may apply for Units by filling up an Application Form. All valid and complete applications will be allotted Units at the Applicable NAV for the application amount. Allotment of units shall be made within 5 business days from the closure of the NFO and the Scheme shall be available for ongoing repurchase/sale/trading within 5 business days of the allotment. Allotment of Units shall be subject to: (i) the achievement of the minimum target amount; (ii) receipt of complete Application Forms that are in order; (iii) realisation of the specified minimum Subscription amount from the Investor, and (iv) provisions set out in the section on 'Refund/Rejection of the application' given below. Account Statements An account statement will be sent by ordinary post/courier/electronic mail to each Unit Holder within 5 business days from the closure of the NFO, stating the number of Units purchased. In case the investor provides the e-mail address, the Fund will provide the Account Statement only through e-mail message. Should the unit holder experience any difficulty

	in accessing the electronically delivered documents, the unit holders shall promptly advise the Mutual Fund to enable the Mutual Fund to make the delivery through alternate means. It is deemed that the unit holder is aware of all security risks including possible third-party interception of the documents and contents of the documents becoming known to third parties. Normally, no unit certificates will be issued. However, if an applicant so desires, the AMC shall issue the unit certificates to the applicant within 5 business days of the receipt of request for the certificate. Consolidated Account Statements In accordance with SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024, a consolidated account statement for each calendar month is issued to the investors in whose folios transactions has taken place during that month. Further, as per SEBI circular no. SEBI/HO/MRD-PoD2/CIR/P/2024/93 dated July 1, 2024, email has been recognised as default mode for dispatch for Consolidated Account Statement (CAS) by Mutual Funds. In case there is no transaction in any of the mutual fund and demat accounts, then CAS with holding details shall be sent to the investors by email on half yearly basis.
Refund	If application is rejected, full amount will be refunded within 5 working days of closure of NFO. If refunded later than 5 working days @ 15% p.a. for delay period will be paid and charged to the AMC.
Who can invest This is an indicative list and investors shall consult their financial advisor to ascertain whether the scheme is suitable to their risk profile.	This is an indicative list and you are requested to consult your financial advisor to ascertain whether the Scheme is suitable to your risk profile. The following persons are eligible to apply for subscription to the units of the Scheme (subject to, wherever relevant, subscription to units of the Scheme being permitted under the respective constitutions and relevant statutory regulations): 1. Indian resident adult individuals either singly or jointly (not exceeding three) or on an Anyone or Survivor basis; 2. Hindu Undivided Family (HUF) through Karta of the HUF; 3. Minor (as the first and the sole holder only) through a natural guardian(i.e. father or mother, as the case may be) or a court appointed legal guardian. There shall not be any joint holding with minor investments. Payment for investment by any mode shall be accepted from the bank account of the minor, parent or legal guardian of the minor, or from a joint account of the minor with parent or legal guardian. 4. Partnership Firms and Limited Liability Partnerships (LLPs); 5. Proprietorship in the name of the sole proprietor; 6. Companies, Bodies Corporate, Public Sector Undertakings (PSUs), Association of Persons (AOP) or Bodies of Individuals (BOI) and societies registered under the Societies Registration Act, 1860; 7. Banks (including Co-operative Banks and Regional Rural Banks) and Financial Institutions; 8. Mutual Funds registered with SEBI; 9. Religious and Charitable Trusts, Wakfs or endowments of private trusts (subject to receipt of necessary approvals as required) and private trusts authorised to invest in mutual fund schemes under their trust deeds; 10. Non-Resident Indians (NRIs) / Persons of Indian origin (PIOs) residing abroad on repatriation basis or on non-repatriation basis; subject to compliance with all applicable laws and regulations prior to investing in the Scheme. 11. Foreign Institutional Investors (FIIs) and their sub-accounts registered with SEBI on repatriation basis; 12. Army, Air Force, Navy and other para-military units and bodies created by such institutions; 13. Council of Scientific and Industrial Research, India; 14. Multilateral Funding Agencies / Bodies Corporate incorporated outside India with the permission of Government of India / RBI; 15. Provident Funds, Pension Funds, Gratuity Funds and Superannuation Funds to the

	extent they are permitted 16. Other schemes of PPFAS Mutual Fund (as and when PPFAS Mutual Fund introduces additional scheme/s) subject to the conditions and limits prescribed by SEBI (Mutual Funds) Regulations; 17. Trustee, AMC or Sponsor or their associates may subscribe to units under the Scheme; 18. Qualified Foreign Investor (QFI) 19. Foreign Portfolio Investors (FPI) registered with SEBI on repatriation basis; subject to compliance with all applicable laws and regulations and the terms, conditions, and documentation requirements stipulated by the AMC from time to time, prior to investing in the Scheme. 20. Such other individuals /institutions/ body corporates etc., as may be decided by the AMC from time to time, so long as, wherever applicable, subject to their respective constitutions and relevant statutory regulations. The list given above is indicative and the applicable laws, if any, as amended from time to time shall supersede the list. Note: 1. Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs) residing abroad / Foreign Institutional Investors (FIIs) have been granted a general permission by Reserve Bank of India under Schedule 5 of the Foreign Exchange Management (Transfer or Issue of Security by a Person Resident Outside India) Regulations, 2000 for investing in / redeeming units of the mutual funds subject to conditions set out in the aforesaid regulations. 2. It is expressly understood that at the time of investment, the investor/ unitholder has the express authority to invest in units of the Scheme and the AMC / Trustee / Mutual Fund will not be responsible if such investment is ultravires the relevant constitution. Subject to the Regulations, the Trustee may reject any application received in case the application is found invalid/ incomplete or for any other reason in the Trustee's sole discretion. 3. For subscription in the Scheme, it is mandatory for investors to make certain disclosures like bank details etc. and provide certain documents like PAN copy etc. (for details please refer SAI) without which the application is liable to be rejected. PAN and Aadhar linking to be successful for applicable investor's and Name and DOB on the application to be as per PAN/CBDT 4. Subject to the SEBI (MF) Regulations, any application for units of this Scheme may be accepted or rejected in the sole and absolute discretion of the Trustee/AMC. The Trustee/AMC may inter-alia reject any application for the purchase of units if the application is invalid or incomplete or if the Trustee for any other reason does not believe that it would be in the best interest of the Scheme or its unitholders to accept such an application. 5. The AMC / Trustees may request Investors / Unit holders to provide other further details as may be required in the opinion of the AMC / Trustees under applicable Laws. This may result in a delay in dealing with the applicants, Unit holders, benefits distribution, etc. 6. In case of application(s) made by individual investors under a Power of Attorney, the original Power of Attorney or a duly notarized copy should be submitted along with the subscription application form. In case of applications made by non-individual investors, the authorized signatories of such non-individual investors should sign the application form in terms of the authority granted to them under the Constitutional Documents/ Board resolutions/Power of Attorneys, etc. A list of specimen signatures of the authorized signatories, duly certified / attested should also be attached to the Application Form. The Mutual Fund/AMC/Trustee shall deem that the investments made by such non-individual investors are not prohibited by any law/Constitutional documents governing them and they possess the necessary authority to invest. 7. Investors desiring to invest / transact in mutual fund schemes are required to comply with the KYC norms applicable from time to time. Under the KYC norms, Investors are
--	--

	required to provide prescribed documents for establishing their identity and address such as copy of the Memorandum and Articles of Association / bye-laws/trust deed/ partnership deed/Certificate of Registration along with the proof of authorization to invest, as applicable, to the KYC Registration Agency (KRA) registered with SEBI. 8. Further, all other requirement for investments by minor and process of transmission shall be followed in line with SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 read with SEBI Circular dated May 12, 2023 as amended from time to time. 9. The Mutual Fund/ AMC/ Trustee/ other intermediaries will rely on the declarations/ affirmations provided by the Investor(s) in the Application/Transaction Form(s) and the documents furnished to the KRA. Further, the Investor shall be liable to indemnify the Fund/ AMC/ Trustee/ other intermediaries in case of any dispute regarding the eligibility, validity and authorization of the transactions and/ or the applicant who has applied on behalf of the Investor. The Mutual Fund/ AMC/ Trustee reserves the right to call for such other information and documents as may be required by it in connection with the investments made by the investors. 10. Returned cheques are not liable to be presented again for collection and the accompanying application forms are liable to be rejected by the AMC. In case the returned cheques are presented again, the necessary charges are liable to be debited to the investor. 11. The Trustee reserves the right to recover from an investor any loss caused to the Scheme on account of dishonour of cheques issued by the investor for purchase of Units of the Scheme.
Who cannot invest	The following persons are not eligible to invest in the Scheme: Pursuant to RBI A.P. (DIR Series) Circular No. 14 dated September 16, 2003, Overseas Corporate Bodies (OCBs) cannot invest in Mutual Funds. Any prospective investor/s residing in Non-Compliant Countries and Territories (NCCTs) as determined by the Financial Action Task Force (FATF), from time to time. Such other persons as may be specified by AMC from time to time or as may be required by the applicable rules and regulations.
How to Apply (and other details)	Please refer to the SAI and Application form for the instructions. 1. Availability of application form from either the Investor Service Centers (ISCs)/Official Points of Acceptance (OPAs) of AMC or may be downloaded from the website of AMC - https://amc.ppfas.com/downloads/index.php and https://amc.ppfas.com/investor-desk/investor-service-centres/index.php 2. Link for the list of official points of acceptance, collecting banker details etc. - https://amc.ppfas.com/contact/official-points-of-acceptance-opa/ 3. Name, address and contact no. of Registrar and Transfer Agent (R&T), email id of R&T, website address of R&T, official points of acceptance, collecting banker details etc. on back cover page. Investors may obtain Key Information Memorandum (KIM) along with the application forms from the AMC offices or Point of Acceptance of the Registrar or may be downloaded from http://amc.ppfas.com (AMC's website). Please refer to the SAI and Application Form for the instructions. For further details, please refer to paragraph - 'Restriction On Acceptance of Third Party Payment Instruments for Subscription of Units' under the section - How to Apply in SAI. Bank Details: In order to protect the interest of Unit holders from fraudulent encashment of redemption / IDCW cheques, SEBI has made it mandatory for investors to provide their bank details viz.

	name of bank, branch, address, account type and number, etc. to the Mutual Fund. Applications without complete bank details shall be rejected. The AMC will not be responsible for any loss arising out of fraudulent encashment of cheques / warrants and / or any delay / loss in transit.
The policy regarding reissue of repurchased units, including the maximum extent, the manner of reissue, the entity (the scheme or the AMC) involved in the same.	Units once redeemed will not be reissued.
Restrictions, if any, on the right to freely retain or dispose of units being offered.	RIGHT TO RESTRICT REDEMPTION AND / OR SUSPEND REDEMPTION OF THE UNITS (as per clause 1.12 of Master Circular): The Fund at its sole discretion reserves the right to restrict Redemption (including switch-out) of the Units (including Plan /Option) of the Scheme of the Fund upon occurrence of the below mentioned events for a period not exceeding ten (10) working days in any ninety (90) days period subject to approval of the Board of Directors of the AMC and the Trustee. The restriction on Redemption (including switch-out) shall be applicable where the Redemption (including switch-out) request is for a value above Rs. 2,00,000/- (Rupees Two Lakhs). Further, no restriction shall be applicable to the Redemption / switch-out request upto Rs. 2,00,000/- (Rupees Two Lakhs). It is further clarified that, in case of redemption request beyond Rs. 2,00,000/- (Rupees Two Lakhs), no restriction shall be applicable on first Rs. 2,00,000/- (Rupees Two Lakhs). The Trustee / AMC reserves the right to restrict Redemption or suspend Redemption of the Units in the Scheme of the Fund on account of circumstances leading to a systemic crisis or event(s) that severely constrict market liquidity or the efficient functioning of the markets. A list of such circumstances under which the restriction on Redemption or suspension of Redemption of the Units in the Scheme of the Fund may be imposed are as follows: 1. Liquidity issues- when market at large becomes illiquid affecting almost all securities rather than any issuer specific security; or 2. Market failures / Exchange closures; or 3. Operational issues; or 4. If so directed by SEBI. It is clarified that since the occurrence of the abovementioned eventualities have the ability to impact the overall market and liquidity situation, the same may result in exceptionally large number of Redemption requests being made and in such a situation the indicative timelines, if any mentioned by the Fund in the scheme offering documents, for processing of requests for Redemption may not be applicable. Any restriction on Redemption or suspension of Redemption of the Units in the Scheme(s) of the Mutual Fund shall be made applicable only after specific approval of the Board of Directors of the AMC and Trustee Company and thereafter, immediately informing the same to SEBI. The AMC / Trustee reserves the right to change / modify the provisions of right to restrict Redemption and / or suspend Redemption of the Units in the Scheme of the Fund.
Cut off timing for subscriptions/ redemptions/	Subscriptions/Purchases including Switch – ins for any amount. In respect of valid applications received for any amount upto 3.00 p.m.(cut-off time) on a

switches This is the time before which your application (complete in all respects) should reach the official points of acceptance.	Business Day at the Official Point(s) of Acceptance and where the funds for the entire amount of subscription / purchase as per the application / switch-in request, are credited to the bank account of the Scheme before the cut-off time i.e. available for utilization before the cut-off time - the closing NAV of the day on which valid application is received shall be applicable. In respect of valid applications received for any amount after 3.00 p.m. on a Business Day at the Official Point(s) of Acceptance and where the funds for the entire amount of subscription / purchase as per the application / switch-in request, are credited to the bank account of the Scheme before the cut-off time of the next Business Day i.e. available for utilization before the cut-off time of the next Business Day - the closing NAV of the next Business Day shall be applicable. irrespective of the time of receipt of application, where the funds for the entire amount are credited to the bank account of the Scheme before the cut-off time on any subsequent Business Day i.e. available for utilization before the cut-off time on any subsequent Business Day - the closing NAV of such subsequent Business Day shall be applicable. For Switch-ins of any amount: For determining the applicable NAV, the following shall be ensured: Application for switch-in is received before the applicable cut-off time. Funds for the entire amount of subscription/purchase as per the switch in request are credited to the bank account of the Scheme before the cut-off time. The funds are available for utilization before the cut-off time. In case of 'switch' transactions from one scheme to another, the allocation shall be in line with redemption payouts. In case of switches, the request should be received on a day which is a Business Day for the Switch-out scheme. Redemption for switch-out shall be processed at the applicable NAV as per cut-off timing. Switching will be processed at the Applicable NAV (on a Business Day) based on realization of funds as per the redemption pay-out cycle for the switch-out scheme. For investments through systematic investment routes such as Systematic Investment Plans (SIP), Systematic Transfer Plans (STP), etc. the units will be allotted as per the closing NAV of the day on which the funds are available for utilization within applicable cut-off time by the Target Scheme irrespective of the installment date of the SIP, STP or record date of IDCW etc. While the AMC will endeavour to deposit the payment instruments accompanying investment application submitted to it with its bank expeditiously, it shall not be liable for delay in realization of funds on account of factors beyond its control such as clearing / settlement cycles of the banks. Since different payment modes have different settlement cycles including electronic transactions (as per arrangements with Payment Aggregators / Banks / Exchanges etc), it may happen that the investor's account is debited, but the money is not credited within cut-off time on the same date to the Scheme's bank account, leading to a gap / delay in Unit allotment. Investors are therefore urged to use the most efficient electronic payment modes to avoid delays in realization of funds and consequently in Unit allotment. Redemptions including switch-out: The following cut-off timings shall be observed by the Mutual Fund in respect of Repurchase of Units: 1. Where the valid application is received up to 3.00 p.m. on a business day by the Mutual Fund- the closing NAV of the day on which application is received shall be applicable and
--	--

	2. Where the valid application is received after 3.00 p.m. on a business day by the Mutual Fund- the closing NAV of the next business day shall be applicable. The above mentioned cut off timing shall be applicable to transactions through the online trading platform. The Date of Acceptance will be reckoned as per the date & time; the transaction is entered in stock exchanges infrastructure for which a system generated confirmation slip will be issued to the unitholder. Investors shall make sure that after deducting bank charges for outstation cheque amount available for investment shall not be less than amount specified for minimum investment. Transactions through online facilities / electronic modes: The time of transaction done through various online facilities / electronic modes offered by the AMC, for the purpose of determining the applicability of NAV, would be the time when the request for purchase / sale / switch of units is received in the servers of AMC/RTA. In case of transactions through online facilities / electronic modes, there may be a time lag of upto 5-7 banking days between the amount of subscription being debited to the investor's bank account and the subsequent credit into the respective Scheme's bank account. This lag may impact the applicability of NAV for transactions where NAV is to be applied, based on actual realization of funds by the Scheme. Under no circumstances will PPFAS Asset Management Private Limited or its bankers or its service providers be liable for any lag / delay in realization of funds and consequent pricing of units. The AMC has the right to amend cut off timings subject to SEBI (MF) Regulations for the smooth and efficient functioning of the Scheme.
Minimum amount for purchase/ redemption/ switches	Minimum amount for new purchase is Rs. 1,000 and in multiples of Re. 1 thereafter. Minimum additional amount for purchase is Rs. 1,000 and in multiples of Re. 1 thereafter. Minimum amount for redemption/ switch is Rs. 1,000 and in multiples of Re. 1 thereafter. In case the investor specifies the number of units and amount to be redeemed, the number of units shall be considered for redemption. In case the unitholder does not specify the number of units or amount to be redeemed, the redemption request will not be processed. The AMC reserves the right to change the minimum amounts for various purchase/ redemption/ switches. Such changes shall only be applicable to transactions on a prospective basis. <u>Non-applicability of Minimum Application Amount (Lump-sum) and Minimum Redemption amount to Alignment of interest of Designated Employees of AMC:</u> SEBI vide its Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 and SEBI circular no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2025/36 dated March 21, 2025 on Alignment of interest of Designated Employees of Asset Management Companies (AMCs) with the Unitholders of the Mutual Fund Schemes has, inter alia mandated that a minimum percentage of Gross Annual CTC net of income tax and any statutory contributions of the Designated Employees of the AMCs shall be invested in units of the scheme(s) of the Fund in which they have a role/oversight. The percentage to be invested shall be based on the slabs as mentioned in the SEBI Circular dated March 21, 2025. The said guidelines came into effect from the April 01, 2025. In accordance with the regulatory requirement, the minimum application amount and minimum redemption amount wherever specified in the concerned SID / KIM will not be applicable for investment made in schemes of the Fund in compliance with the aforesaid circular(s).
Account Statements	The AMC shall send an allotment confirmation specifying the units allotted by way of email and/or SMS within 5 working days of receipt of valid application/transaction to the Unit holders registered e-mail address and/ or mobile number (whether units are held in demat mode or in account statement form).

	A Consolidated Account Statement (CAS) detailing all the transactions across all mutual funds and holding at the end of the month shall be sent to the Unit holders in whose folio(s) transaction(s) have taken place during the month. Investor those who have opted for delivery via electronic mode, e-CAS will be sent by the twelfth (12th) day from the month end and to investors who have opted for delivery via physical mode, physical CAS will be despatched by the fifteenth (15th) day from the month end. If there is any transaction in any of the demat accounts of the investor or in any of his mutual fund folios, then CAS will be sent to that investor through email on monthly basis. In case there is no transaction in any of the mutual fund and demat accounts then CAS with holding details will be sent to the investors by email on half yearly basis. In respect of half-yearly CAS, the AMCs/MF-RTAs shall provide the data with respect to the common PANs to the depositories on or before eighth(8th) day of April and October every year. The depositories shall then consolidate and dispatch the CAS to investors that have opted for delivery via electronic mode, on or before the eighteenth (18th) day of April and October and to investors that have opted for delivery via physical mode, on or before the twenty-first (21st) day of April and October. However, where an investor does not wish to receive CAS through email, option will be given to the investor to receive the CAS in physical form at the address registered with the Depositories and the AMCs/MF-RTAs. For further details, refer SAI.
IDCW	1. The IDCW proceeds will mandatorily be paid directly into the Unitholder's bank account through various electronic payout modes such as Direct credit/ NEFT/RTGS/IMPS/ECS/NECS etc, as directed by SEBI. Please note that physical despatch of IDCW payment instruments shall be made by the AMC only in exceptional circumstances. 2. The IDCW proceeds will be paid in favour of the Unit holder (registered holder of the Units or, if there is more than one registered holder, only to the first registered holder) with bank account number furnished to the Mutual Fund (please note that it is mandatory for the Unit holders to provide/update the Bank account details IFSC code etc. as per the directives of SEBI). 3. The IDCW payment shall be transferred to the Unitholders within 7 working days from the record date of such declaration of IDCW and in case of exceptional circumstances, it shall be released within 9 working days from the record date as per SEBI and/or AMFI Guidelines dated 16th January 2023 as amended from time to time. In the event of failure to transfer IDCW within the stipulated period, the AMC shall be liable to pay interest @ 15% per annum to the Unitholders for the delay in payment as computed from the Record Date or from such other date or for such period as may be advised by SEBI from time to time. 4. For units held in demat form: The IDCW proceeds will be credited to the bank account of the Unitholder, as per the bank account details recorded with the Depository Participant based on the list provided by the Depositories (NSDL/CDSL) giving the details of the demat account holders and the number of Units held by them in demat form on the Record date.
Redemption	• The redemption or repurchase proceeds shall be dispatched to the unitholders within three working days from the date of redemption or repurchase and in case of exceptional circumstances, it shall be made within 5 working days. • In order to protect the interest of Unit holders from fraudulent encashment of redemption / IDCW cheques, SEBI has made it mandatory for investors to provide their bank details viz. name of bank, branch, address, account type and number, etc. to the Mutual Fund. Applications without complete bank details shall be rejected. The AMC will not be responsible for any loss arising out of fraudulent encashment of cheques / warrants and / or any delay / loss in transit. • For list of exceptional circumstances, refer para 14.1.3 of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024.

Bank Mandate	Registration of Multiple Bank Accounts in respect of an Investor Folio An Investor can register with the Fund upto 5 bank accounts in case of individuals and HUFs and upto 10 in other cases. Registering of Multiple Bank Accounts will enable the Fund to systematically validate the pay-in of funds and avoid acceptance of third party payments. For the purpose of registration of bank account(s), Investor should submit Bank Mandate Registration Form (available at the AMC Website, office of AMC and Official point of Acceptance) together with any of the following documents: Cancelled original cheque leaf in respect of bank account to be registered where the account number and names of the account holders are printed on the face of the cheque; or Bank statement or copy of Bank Pass Book page with the Investor's Bank Account number, name and address. The above documents will also be required for change in bank account mandate submitted by the Investor. The AMC will register the Bank Account only after verifying that the sole/ first joint holder is the holder / one of the joint holders of the bank account. In case if a copy of the above documents is submitted, Investor shall submit the original to the AMC/ Investor Service Centre for verification and the same shall be returned. In case of Multiple Registered Bank Account, Investor may choose one of the registered bank accounts for the credit of redemption/IDCW proceeds (being - Pay-out bank account). Investors may however, specify any other registered bank accounts for credit of redemption proceeds at the time of requesting for the redemption. Investors may change such Pay-out Bank accounts, as necessary, through written instructions. However, if a request for redemption is received together with a change of bank account (unregistered new bank account) or before verification and validation of a new bank account, the redemption request would be processed to the currently registered default old bank account. Bank account which is stated first shall be treated as default bank account. For further details please refer to paragraph on Registration of Multiple Bank Accounts in respect of an Investor Folio in the SAI. The AMC reserves the right to alter/ discontinue all / any of the above-mentioned special product(s)/ facility(ies) at any point of time. Further, the AMC reserves the right to introduce more special product(s) / facility(ties) at a later date subject to prevailing SEBI Guidelines and Regulations. Email ID for communication First / Sole Holders should register their own email address and mobile number in their folio for speed and ease of communication in a convenient and cost-effective manner, and to help prevent fraudulent transactions.
Delay in payment of redemption / repurchase proceeds/	Under normal circumstances, the redemption or repurchase proceeds shall be released to the unitholders within 3 working days from the date of redemption or repurchase and in case of exceptional situation it shall be within 5 working days. For IDCW, under normal circumstances, the IDCW proceeds shall be released to unitholders within 7 working days

IDCW	from the record date and in case of exceptional circumstances it shall be within 9 working days from the record date as per SEBI and/or AMFI Guidelines dated 16th January 2023 as amended from time to time. The AMC shall be liable to pay interest to the unitholders at such rate as may be specified by SEBI for the period of such delay (presently @ 15% per annum). However, the AMC will not be liable to pay any interest or compensation or any amount otherwise, in case the AMC / Trustee is required to obtain from the investor / unitholders, verification of identity or such other details relating to subscription for units under any applicable law or as may be requested by a regulatory body or any government authority, which may result in delay in processing the application. The interest for the delayed payment of IDCW shall be calculated from the record date.
Unclaimed Redemption and Income Distribution cum Capital Withdrawal Amount	As per the SEBI Master Circular for Mutual Funds dated June 27, 2024, the unclaimed redemption and IDCW amounts shall be allowed to be deployed by the Fund in call money market or money market instruments and the same shall also be allowed to be invested in a separate plan of Liquid scheme / Money Market Mutual Fund scheme floated by Mutual Funds specifically for deployment of the unclaimed amounts. Provided that such schemes where the unclaimed redemption and IDCW amounts are deployed shall be only those Overnight scheme/ Liquid scheme / Money Market Mutual Fund schemes which are placed in A-1 cell (Relatively Low Interest Rate Risk and Relatively Low Credit Risk) of Potential Risk Class matrix as per SEBI Master Circular dated June 27, 2024. The investment management fee charged by the AMC for managing such unclaimed amounts shall not exceed 50 basis points. Investors claiming these amounts during a period of three years from the due date shall be paid at the prevailing NAV. After a period of three years, this amount shall be transferred to a pool account and the investors can claim the said amounts at the NAV prevailing at the end of the third year. Income earned on such funds shall be used for the purpose of investor education. The AMC shall make a continuous effort to remind investors through letters to take their unclaimed amounts. The details of such unclaimed amounts shall be disclosed in the annual report sent to the Unit Holders. The AMC reserves the right to provide the facility of redeeming Units of the Scheme through an alternative mechanism including but not limited to online transactions on the Internet through the AMC website or any other website, etc., as may be decided by the AMC from time to time. The alternative mechanisms would be applicable to only those investors who opt for the same in writing and/or subject to investor fulfilling such conditions as the AMC may specify from time to time. Unit-holders should note that while remitting your redemption proceeds, tax will be deducted at source in accordance with applicable tax laws. If there is any such unclaimed amounts and/or units, such amount shall be paid by direct credit to the claimant's registered bank account via NEFT/RTGS/Direct Fund transfer etc. immediately upon the successful completion of the transmission process, with a suitable intimation to the claimant giving complete details / account statement. Further, as per AMFI circular no. 35P/ MEM-COR/ 105/ 2024-25 dated July 03, 2024, following uniform practices shall be followed by AMC: 1.AMC to transfer the unclaimed redemption and dividend amounts to unclaimed dividend and redemption scheme (UDRS) after 90 days and not beyond 105 days from the date of the issuance of the instruments. 2.AMCs shall have separate scheme/plan for Unclaimed IDCW and Unclaimed Redemption amount, pending for less than 3 years or more than 3 years.

	3. On completion of first 3 years period, AMC shall transfer such units to UDRS plan (>3 years) within 10 business days of the subsequent month. 4. The amount of income accrued on daily basis on unclaimed amounts beyond three years shall be transferred on a monthly basis (i.e. on or before 10th calendar day of subsequent month) to the investor education scheme /folio.
Disclosure w.r.t investment by minors	Pursuant to Chapter 17.6 of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024- read with SEBI Circular dated May 12, 2023, the following uniform process shall be applicable with respect to Investments made in the name of a minor through a guardian. - Payment for investment by means of Cheque, Demand Draft or any other mode shall be accepted from the bank account of minor, parent or legal guardian of minor, or from the joint account of the minor with parent or legal guardian. For existing folios, the AMC shall insist upon a Change of payout bank mandate before redemption is processed. However, all redemptions from investments made in the name of a minor shall be credited only to the verified bank account of the minor, with effect from June 15, 2023. - Existing unit holders are requested to review the Bank Account registered in the folio and ensure that the registered Bank Mandate is in favour of minor or joint with registered guardian in folio. If the registered Bank Account is not in favour of minor or not joint with registered guardian, unit holders will be required to submit the change of bank mandate, where minor is also a bank account holder (either single or joint with registered guardian), before initiation any redemption transaction in the folio, else the transaction is liable to get rejected. - Upon the minor attaining the status of major, the minor in whose name the investment was made, shall be required to provide all the KYC/FATCA details, updated bank account details including cancelled original cheque leaf of the new account and his/her specimen signature duly authenticated by banker/guardian. Investors shall additionally note that, upon the minor attaining the status of major, no further transactions shall be allowed till the status of the minor is changed to major. The standing instructions registered for Systematic Investment Plan (SIP), Systematic Transfer Investment Plan (STP), Systematic Withdrawal Plan (SWP), IDCW Transfer Plan (DTP), etc., shall be suspended when the minor attains majority, till the status is changed to major.
Acceptance of financial transactions through email in respect of non-individual investors:	Non-individual unitholders desiring to avail the facility of carrying out financial transactions through email in respect of PPFAS Mutual Fund schemes shall - Submit a copy of the Board resolution or an authority letter on their letter head (signed by competent authority), granting appropriate authority to the designated officials of their entity. - The board resolution/authority letter should explicitly consist of: - List of approved authorized officials who are authorized to transact on behalf of non-individual investors along with their designation and email IDs. - An Undertaking that the instructions for any financial transactions sent by email by the authorized officials shall be binding upon the entity as if it were a written agreement. - In case the document is submitted electronically with a valid Digital Signature Certificate (DSC) or through Aadhaar based e-signature by the authorized official/s shall be considered as valid and acceptable and shall be binding on the non-individual investor as per the AMFI guidelines mentioned above. - In addition to acceptance of financial transaction via email, scanned copy of duly signed transaction form/request letter bearing wet signatures of the authorized signatories of the entity, received from some other official / employee of the non-individual investor may also be accepted, and shall be binding on the non-individual investor provided - - The email is also cc'd (copied) to the registered email ID of the authorized

	official / signatory of the non-individual unitholder; and ii. the domain name of the email ID of the sender of the email is from the same organization's official domain name. e. No change in bank details or addition of bank account of the entity or any non-financial transactions shall be allowed / accepted via email. f. Request for change in bank details or addition of bank account of the entity shall be submitted by the non-individual investor using the prescribed service request form duly signed by the entity's authorized signatories with wet signature of the designated authorized signatories. g. Change in the registered email address / contact details of the entity shall be accepted only through a physical letter (including scanned copy thereof) with wet signature of the designated authorized officials of the entity, duly supported by copy of the board resolutions/authority letter on the entity's letter head. h. In addition to acceptance of financial transactions via email, scanned copies of signed transaction form /request letters bearing wet signatures of the authorized signatories of the entity, received from the registered MFD of the entity or a third party authorized by the non-individual unitholder may also be accepted subject to fulfilment of the following requirements: i. Authorization letter from the non-individual unitholder authorizing the MFD/person to send the scanned copies of signed transaction form/request letter on behalf the non-individual investor and ii. the non-individual unitholder's registered email ID is also cc'd (copied) in the email sent by the authorized MFD/person sending the scanned copies of the duly signed transaction form/request letter.
--	--

III. Other Details

A. Periodic Disclosures

Net Asset Value This is the value per unit of the Scheme on a particular day. You can ascertain the value of your investments by multiplying the NAV with your Unit balance.	The first NAV of the Scheme will be calculated and disclosed within a period of 5 business days from the date of allotment. Subsequently, the AMC will calculate and disclose the NAVs on all the Business Days. Unitholders are hereby informed that in terms of SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 relating to "Review of time limit for disclosure of NAV of mutual fund schemes investing Overseas", shall follow a revised timeline i.e. 10.00 A.M. on T+1 day instead of 11.00 P.M. on T day for the declaration of NAV w.e.f. July 01, 2023 on its website (www.amc.ppfas.com) and of the Association of Mutual Funds in India - AMFI (www.amfiindia.com). Due to any reason, if the NAVs of the Scheme are not available before the commencement of Business Hours on the following day, the Mutual Fund shall issue a press release giving reasons and explaining when the Mutual Fund would be able to publish the NAV. SEBI Master Circular for Mutual Funds no. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2024/90 dated June 27, 2024 states that Mutual Fund shall declare separate NAV for Direct and Regular Plan. Accordingly, Direct and Regular Plan shall have different NAV. The difference in NAV will be the commission paid to the distributor/s. NAV will be declared with 4 decimal points. Information regarding NAV can be obtained by the unitholders' or investors by calling or visiting the nearest ISC or visiting the website of the Mutual Fund.
---	---

	Link- https://amc.ppfas.com/schemes/nav-history/
Daily Performance Disclosure	The AMC shall upload performance of the Scheme on a daily basis on AMFI website in the prescribed format along with other details such as Scheme AUM and previous day NAV, as prescribed by SEBI from time to time. Link-https://www.amfiindia.com/research-information/other-data/mf-scheme-performance-details
Monthly Disclosure of Average Assets Under Management (AAUM)	The Mutual Fund shall disclose the Monthly AAUM under different categories of Schemes as specified by SEBI in the prescribed format on a monthly basis on its website viz. www.amc.ppfas.com and forward to AMFI within 7 working days from the end of the month. Link- https://amc.ppfas.com/schemes/assets-under-management/
Monthly and Half yearly Disclosures: Portfolio / Financial Results This is a list of securities where the corpus of the Scheme is currently invested. The market value of these investments is also stated in portfolio disclosures.	The AMC shall disclose the portfolio of the Scheme along with ISIN as on the last day of each month / half year on its website viz. www.amc.ppfas.com and on the website of AMFI viz. www.amfiindia.com within 10 days from the close of each month/ half-year respectively in a user-friendly and downloadable spreadsheet format. In case of Unitholders whose e-mail addresses are registered, the AMC shall send via email both the monthly and half-yearly statement of the Scheme portfolio within 10 days from the close of each month/ half-year respectively. Further, the AMC shall publish an advertisement in all India editions of at least two daily newspapers, one each in English and Hindi, every half year disclosing the hosting of the half- yearly statement of the schemes' portfolio(s) on the AMC's website and on the website of AMFI. The AMC shall provide a physical copy of the statement of the Scheme portfolio, without charging any cost, on specific request received from a Unitholder. Link - https://amc.ppfas.com/downloads/portfolio-disclosure/ https://amc.ppfas.com/schemes/scheme-s-financial-half-yearly/ https://www.amfiindia.com/research-information/other-data/accounts-data
Half Yearly Results	The Mutual Fund shall within one month from the close of each half year (i.e. 31st March and 30th September), host a soft copy of its unaudited financial results on its website www.amc.ppfas.com. The Mutual Fund shall also publish an advertisement disclosing the hosting of such financial results on its website, in at least one English daily newspaper having nationwide circulation and in a newspaper having wide circulation published in the language of the region where the Head Office of the Mutual Fund is situated. The unaudited financial results shall also be displayed on the website of AMFI. Link - https://www.amfiindia.com/research-information/other-data/accounts-data https://amc.ppfas.com/schemes/scheme-s-financial-half-yearly/
Annual Report	The scheme wise annual report shall be hosted on the website of the AMC / Mutual Fund (www.amc.ppfas.com) and AMFI (www.amfiindia.com) not later than four months (or such other period as may be specified by SEBI from time to time) from the date of closure of the relevant accounting year (i.e. 31st March each year). Further, the physical copy of the scheme wise annual report shall be made available to the Unitholders at the

	registered / corporate office of the AMC at all times. In case of Unitholders whose email addresses are registered with the Fund, the AMC shall e-mail the annual report or an abridged summary thereof to such Unitholders. The Unitholders whose email addresses are not registered with the Fund may submit a request to the AMC / Registrar & Transfer Agent to update their email ids or communicate their preference to continue receiving a physical copy of the scheme wise annual report or an abridged summary thereof. Unitholders may also request for a physical or electronic copy of the annual report / abridged summary, by writing to the AMC at mf@ppfas.com from their registered email ids or calling the AMC on the toll free number 1800 266 7790 or by submitting a written request at any of the nearest investor service centers of the Fund. Further, the AMC shall publish an advertisement in all India edition of at least two daily newspapers, one each in English and Hindi, every year disclosing the hosting of the scheme wise annual report on its website and on the website of AMFI. The AMC shall provide a physical copy of the abridged summary of the annual report, without charging any cost, on specific request received from a Unitholder. Link - https://amc.ppfas.com/schemes/scheme-annual-report/ https://www.amfiindia.com/research-information/other-data/accounts-data
Other disclosures/ Scheme Summary Document	To enhance investor awareness and information dissemination to investors, SEBI prescribes various additional disclosures to be made by Mutual Funds from time to time on its website / on the website of AMFI, stock exchanges, etc. These disclosures include Scheme Summary Documents, Investor charter (which details the services provided to Investors, Rights of Investors, various activities of Mutual Funds with timelines, DOs and DON'Ts for Investors Grievance Redressal Mechanism, etc.) Investors may refer to the same. https://amc.ppfas.com/statutory-disclosures/investor-charter-for-mutual-funds.pdf?070102022_15 https://amc.ppfas.com/statutory-disclosures/scheme-summary-document/index.php
Product Labelling (including Risk- ometer)	The Product labeling mandated by SEBI is to provide investors an easy understanding of the risk involved in the kind of product / scheme they are investing to meet their financial goals. The Risk-o-meter categorizes various schemes under different levels of risk based on the investment objective, asset allocation pattern, investment strategy and typical investment time horizon of investors. Therefore, the schemes falling under the same level of risk in the Risk-o-meter may not be similar in nature. Investors are advised before investing to evaluate a Scheme not only on the basis of the Product labeling (including the Risk-o-meter) but also on other quantitative and qualitative factors such as performance, portfolio, fund managers, asset manager, etc. and shall seek appropriate advice, if they are unsure about the suitability of the Scheme before investing. As per SEBI Guidelines, Risk-o-meter of the Scheme shall be reviewed on a monthly basis based on evaluation of risk level of Scheme's month end portfolios. Notice cum addendum about changes in Scheme's and Benchmark Risk-o-meters, if any, shall be issued. The product labeling assigned during the NFO is based on internal assessment of the scheme characteristics or model portfolio and the same may vary post NFO when the actual investments are made. For latest risk-o-meters of the Scheme and the Benchmark, investors may refer to the monthly portfolios disclosed on the website of the

	Fund viz. www.amc.ppfas.com as well as AMFI website within 10 days from the close of each month. Link - https://amc.ppfas.com/statutory-disclosures/product-labelling/
Investor Charter	Link- https://amc.ppfas.com/statutory-disclosures/investor-charter-for-mutual-funds.pdf?070102022_15
Risk Adjusted Return – Information Ratio (IR)	As required under SEBI circular dated January 17, 2025 (SEBI/HO/IMD/IMD-PoD2/P/CIR/2025/6), the Mutual Fund/AMC shall disclose the IR of the Scheme portfolio on its website i.e. https://amc.ppfas.com/statutory-disclosures/disclosure-of-the-information-ratio/ along with performance disclosures, on a daily basis.

B. Transparency/NAV Disclosure

The AMC will calculate and disclose the first NAV of the Scheme within 5 business days from the date of allotment. Subsequently, the AMC will calculate and disclose the NAV of the Scheme at the close of every Business Day. The AMC shall update the NAVs on the website of the Mutual Fund (<http://amc.ppfas.com>) and on the website of Association of Mutual Funds in India - AMFI (www.amfiindia.com) by 10.00 a.m. on T+1 day. In case of any delay, the reasons for such delay would be explained to AMFI in writing. If the NAVs are not available before commencement of Business Hours on the following day due to any reason, the Mutual Fund shall issue a press release giving reasons and explaining when the Mutual Fund would be able to publish the NAVs. Unitholders may also avail a facility of receiving latest NAVs through SMS on their registered mobile numbers, by submitting a specific request in this regard to the AMC / Registrar & Transfer Agent.

C. Transaction charges and stamp duty-

Pursuant to Securities and Exchange Board of India (SEBI) vide Circular No. SEBI/HO/IMD/IMD-PoD-1/P/CIR/2025/115 dated August 08, 2025, the charges or commission, as prescribed under the paragraph 10.4.1.b and paragraph 10.5 of Master Circular, shall be done away with immediate effect.

In compliance with the above, the Scheme shall no longer deduct transaction charges from the subscription amount. The entire amount received from the investor shall be invested in the Scheme subject to applicable stamp duty charges.

- **Stamp duty** - Investors/ Unit holders of all Schemes of PPFAS Mutual Fund are requested to note that, pursuant to Part I of Chapter IV of the Notification dated February 21, 2019, issued by the Legislative Department, Ministry of Law and Justice, Government of India, on the Finance Act, 2019, read with subsequent notifications including Notification dated March 30, 2020 issued by Department of Revenue, Ministry of Finance, Government of India, a stamp duty at the rate of 0.005% of the transaction value would be levied on applicable mutual fund investment transactions such as purchases (including switch-in, Reinvestment of Income Distribution cum capital withdrawal option) with effect from July 1, 2020. Accordingly, pursuant to levy of stamp duty, the number of units allotted on purchases, switch-ins, Systematic Investment Plan (SIP) installments, Systematic Transfer Plan (STP) installments, Reinvestment of Income Distribution cum capital withdrawal option etc. to the unit holders would be reduced to that extent. The stamp duty will be deducted from the net investment amount i.e. gross investment amount less any other deduction like transaction charge. Units will be created only for the balance amount i.e. Net Investment Amount as reduced by the stamp duty. The stamp duty will be computed at the rate of 0.005% on an inclusive method basis.

For instance: If the transaction amount is Rs. 100100/- and the transaction charge is Rs. 100, the stamp duty will be calculated as follows: $((\text{Transaction Amount} - \text{Transaction Charge}) / 100.005 * 0.005) = \text{Rs. 5}$. If the applicable Net Asset Value (NAV) is Rs. 10 per unit, then units allotted will be calculated as follows: $(\text{Transaction Amount} - \text{Transaction Charge} - \text{Stamp Duty}) / \text{Applicable NAV} = 9,999.50 \text{ units}$. Transfer of mutual fund units (such as transfers between demat accounts) are subject to payment of

stamp duty @ 0.015%. The rate and levy of stamp duty may vary as amended from time to time.

D. Associate Transactions- Please refer to Statement of Additional Information (SAI).

E. Taxation- For details on taxation please refer to the clause on Taxation in the SAI apart from the following:

Equity oriented Fund:

Tax implications on distributed income (hereinafter referred to as either 'Dividend' or 'Capital Gains') by Mutual Funds:

Tax Status of investor	Capital Gains Tax		TDS on capital gain	Tax on distributed income under dividend scheme	TDS on distributed income under dividend scheme
	Short term capital gain (period of holding less or equal than 12 months)	Long term capital gain (period of holding more than 12 months)			
Resident Individual/ HUF / AOP / BOI	20%	12.5% (without indexation and foreign exchange fluctuation)	Nil	At the applicable slab rate	10%
Domestic Companies			Nil		10%
NRIs			STCG: 20% LTCG: 12.5%		20%

Notes:

- The following amounts would be deductible from full value of consideration to arrive at the amount of capital gain:

- Cost of acquisition of units and
- Expenditure incurred wholly and exclusively in connection with the transfer of units.

Further, cost of acquisition to compute long-term capital gains is to be higher of (a) Actual cost of acquisition; and (b) Lower of (i) fair market value as on 31 January 2018; and (ii) full value of consideration received upon transfer.

- In the case of Resident Individuals and HUF, whose total income (as reduced by such short- term capital gain/ long term capital gain) is below the basic exemption limit, then such capital gains shall be reduced by the amount of basic exemption limit not exhausted by any other income and only balance capital gain will be taxed.

Long-term capital gains from the sale of equity-oriented units, taxed under section 112A of the Income-tax Act, 1961 (Act'), are not taxable up to Rs.1,25,000.

- Equity Oriented Funds will also attract Securities Transaction Tax at applicable rates.
- Surcharge is applicable on the above depending on the total income. In addition, "Health and Education Cess" @ 4% shall be applicable on aggregate of base tax and surcharge (Marginal relief in surcharge, if applicable).

The surcharge rate applicable to capital gains taxable under section 112, 112A and 111A of the Act is capped to 15%.

- There shall be no TDS deductible if dividend income paid / credited in respect of units of a mutual fund held by resident is below ₹ 10,000 in a financial year.

Accordingly, income tax may have to be deducted at source at the following rates in case of a non-resident (other than foreign companies), unless a lower withholding tax certificate is obtained from the tax authorities:

Where tax is deductible under the Act, and the deductee has not furnished a Permanent Account Number (PAN) to the deductor, tax should be deducted at source at the highest of the following rates:

- At the rate specified in the Act
- At the rates in force
- At the rate of 20% (plus applicable surcharge and Health and Education Cess)

Where the Permanent Account Number provided to the deductor is invalid or does not belong to the deductee, it shall be deemed that the deductee has not furnished his Permanent Account Number to the deductor and the provisions of sub-section (1) shall apply accordingly.

The rates of TDS in case of Non-resident will further be increased by applicable Surcharge and Cess.

6. Short term/ long term capital gain tax will be deducted at the time of redemption of units in case of NRI investors only. However, as per section 196A of the Act, withholding tax would be lower of the rate of 20% (plus applicable surcharge and cess) or rates provided in the tax treaty on any income in respect of units of mutual fund in case of non-residents as per section 196A of the Act. The non-resident unitholders have to provide the required documents for claiming the benefit of tax treaty. For the purpose of withholding tax obligations, taxes will be withheld as per the provisions of the Income tax Act, 1961 (without applying tax treaty rates). The NRIs can claim the benefit of tax treaty while filing the return of income.
7. As per the provisions of section 196D of the Act which is specifically applicable in case of FPI/FII, the withholding tax rate of 20% (plus applicable surcharge and cess) on any income in respect of securities referred to in section 115AD(1)(a) credited / paid to FII shall apply. The proviso to section 196D(1) of the Act provides for claiming the tax treaty benefits at the time of withholding tax on income with respect to securities of FPIs, subject to furnishing of tax residency certificate and such other documents as may be required. As per section 196D(2) of the Act, no TDS shall be made in respect of income by way of capital gain arising from the transfer of securities referred to in section 115AD of the Act.
8. The Finance Bill (No 2), 2024 provides that in case of domestic company, the rate of income-tax shall be 25% subject to satisfaction of condition relating to turnover or gross receipts. The corporate tax rates for domestic companies (not claiming specified incentives and deductions) at the rate of 22% under section 115BAA and domestic manufacturing companies (not claiming specified incentives and deductions) set-up and registered on or after 1 October 2019 and manufacturing commenced on or before 31 March 2024 at the rate of 15% under section 115BAB. The tax computed in case of domestic companies whose income is chargeable to tax under section 115BAA or section 115BAB shall be increased by a surcharge at the rate of 10%.

The information given herein is as per the prevailing tax laws.

Further details on taxation, please refer to the Section on Taxation on investing in Mutual Funds in Statement of Additional Information (SAI). Investors should be aware that the fiscal rules/ tax laws may change and there can be no guarantee that the current tax position may continue indefinitely. In view of the individual nature of tax implications, investors are advised to consult their professional tax advisor.

F. Rights of Unitholders- Please refer to SAI for details. <https://amc.ppfas.com/downloads/kim-sid-and-sai/>

G. List of official points of acceptance: Kindly refer to the below link for list of Official points of acceptance.

<https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/> and
<https://amc.ppfas.com/contact/official-points-of-acceptance-opa/>

CAMS: <https://www.camsonline.com/Investors/Support/CAMS-Location&Service-center>

H. Penalties, Pending Litigation or Proceedings, Findings of Inspections or Investigations

Kindly refer to the link for details:

<https://amc.ppfas.com/downloads/disclosure-related-to-offer-documents/>

Further, any amendments / replacement / re-enactment of SEBI Regulations subsequent to the date of the Scheme Information Document shall prevail over those specified in this Document.
